

Global Emerging Markets Weekly

Real shocks, artificial returns

The View: Real shocks meet AI surprises

The prolonged war continues to choke supply chains and amplify the energy shock as broad-based inflationary pressure. However, the impact on external balances appears more divergent and in specific cases negated by the AI capex boom. – C. Piron

Asia Economics: China – Monetary liquidity continues?

PBoC set the goal in maintaining a moderately loose monetary policy stance and keeping liquidity reasonably ample this year, while the current money market conditions suggest that the liquidity objective has already been more than fulfilled. – B. Wu, J. Xue

Asia Strategy: Asset Manager Tracker – bonds ease, FX lag

Though the Iran conflict entered its second month, some improvement was seen in April asset manager local EM bond positioning. On an aggregate basis, funds decreased their bond positions while their underweight exposure to FX increased. – C. Piron

EEMEA Economics: London Small Talks

Hungary stronger sentiment on EUR commitment. Romania downgrade risks not imminent. CZ looser fiscal justifies rate hike. Limited visibility on US-Iran deal timing, consensus = summer but risks rising. – J. Saliba, M. Doan, T. Rusike, L. Porte, H. Kucuk

EEMEA Strategy: TURKIYE EXD – fiscal risks abound

We move to MW from OW TURKIYE EXD, as there is insufficient risk premia priced into the credit given fiscal and reserve risks. TURKIYE spreads are fair given fiscal, real rates, oil and EM spreads, suggesting fiscal and inflation risks are underpriced. – R. Adlakha

LatAm Economics: Mexico – Inflation slips below 4%,

We updated our inflation forecasts. We now expect 4.54% yoy and 4.03% for end-2026 and 2027. Balanced risks ahead. We continue to expect Banxico to hold at 6.5% for the rest of the year, with downside risks given a weak economy. – C. Capistran

LatAm Strategy: Peru elections – Uncertainty lingers

The difference between the two presidential candidates is very tight. Uncertainty lingers. Sanchez proposes a new Constitution. Fujimori focuses on deregulation. On strategy, we have a long PEN trade recommendation. – A. Muller, E. Aguirre

Sovereign Strategy: EUR Issuance surged in 2025

Demand for EUR bonds is expanding as investors look for non-USD hard currency exposure, driving larger and more issuance. EUR Issuance surged with a 90% increase in EUR sovereign issuance in 2025 over 2024. – J. Brauer, L. Martin, R. Adlakha, V. Osakovskiy

Week ahead: Monetary policy meeting in Chile and Brazil.

CTA Monitor: Mixed EM rates. Short Asia FX, mixed EEMEA, long LatAm FX.

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Claudio Piron
Emerging Asia FI/FX Strategist
Merrill Lynch (Singapore)
+65 6678 0401
claudio.piron@bofa.com

David Hauner, CFA >>
Global EM FI/FX Strategist
MLI (UK)
+44 20 7996 1241
david.hauner@bofa.com

GEMs FI Strategy & Economics
BofAS

See Team Page for List of Analysts

See [pages 24-28 for a list of our open trade recommendations](#) as well as our trade recommendations closed over the past 12 months.

See a [list of common abbreviations](#) toward the end of this report.

The View

Claudio Piron

Merrill Lynch (Singapore)

Real shocks meet AI surprises

The prolonged war continues to choke supply chains and amplify the energy shock as broad-based inflationary pressure. However, the impact on external balances appears more divergent and in specific cases negated by the AI capex boom.

This is especially so for NE Asia current accounts. Here, the AI export boom is overwhelming the negative effects of the trade shock and pushing c/a surpluses to record levels. Where the AI boom is not present, the energy shock is pushing current account balances to divergent and negative historical extremes.

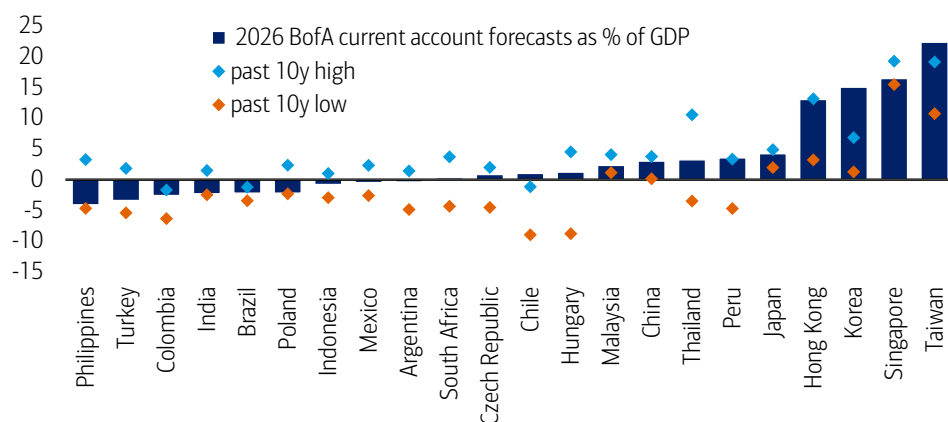
BofA's 2026 current account (CA) forecasts, plotted in Exhibit 1, illustrate the shifts in current account fortunes. Notably, AI and semiconductor exports momentum are driving Korea's and Taiwan's CA surpluses to 15% and 22.3% of GDP respectively, surpassing their respective 10y highs of 6.83% (in 2015) and 19.10% (in 2025) of GDP. It should be noted that China and HK are benefiting too, with the excess HKD savings and abundant liquidity resulting in its carry trade appeal. This contrast with CNY, where exporter USD selling and capital flow constraints on outflows contribute to CNY appreciation pressure.

Absent the AI boom, LatAm's strong commodities exports and favorable terms of trade are pushing Chile's current account into a surplus of 1% of GDP, for first time since 2010. The positive effects are also evident with Peru's c/a surplus expected at 10yr highs, while current account deficits in Brazil and Colombia are seen close to 10yr lows. This is helping to support their respective currencies amid a firmer USD.

On the other side of the spectrum, Philippines (-4.1% of GDP), India (-2.3%) and Poland (-2.2%) are signaling significant stress with their 2026 CA balance nearing their respective 10y lows in deficit- -4.68%, -2.47% and -2.31% of GDP. This is primarily driven by the global price shock widening import bills and putting these currencies under sustained selling pressure.

Exhibit 1: 2026 CA surpluses expected to boom in NE Asia, while commodity exporters also see lift

BofA 2026 forecasts of Current Account balances relative to the 10-year historical highs and lows



Source: BofA Global research, CEIC, Bloomberg

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AI bubble risks cloud over EM FX

Market patience over the cessation of the war is wearing thin, while AI-driven optimism appears vulnerable. Indeed, in recent weeks fears over AI-related equities being overvalued relative to underlying fundamentals are emerging. To gauge risks of an AI bubble and equity sell-off for currencies, we plot EM FX's year-to-date weekly correlations with the BofA Global Financial Stress Index (GFSI) against their correlation with the popular AIQ ETF index in Exhibit 2.



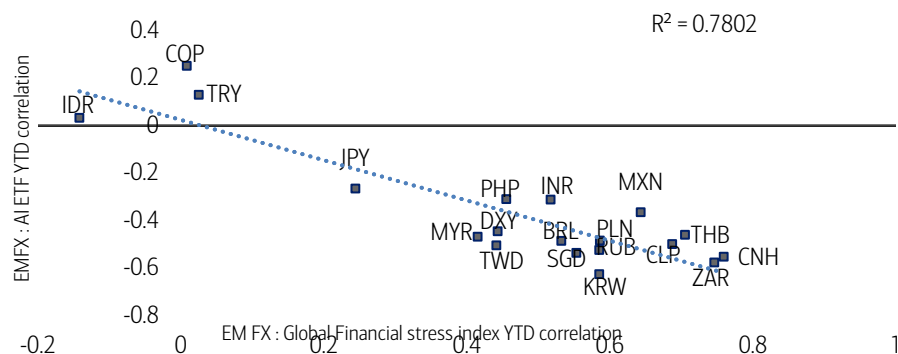
Most EM FX are in the lower right-hand quadrant; weakening (strengthening) in episodes of rising (falling) global financial stress and sell-offs (rallies) in the AI equity ETF (AIQ) this year. KRW and TWD are especially tightly connected to the AI and semiconductor supply chains through their strong external balances, but this very strength also leaves them vulnerable to the unwinding of AI portfolio flows (evident from large negative correlation with AIQ- -0.63 and -0.5, respectively).

ZAR's strong sensitivity to AIQ (-0.58) is also evident and likely captures its role as high-beta proxy for global risk sentiment while CNH's relatively large negative correlation (-0.55) is more consistent with broader China tech sentiment.

By contrast, IDR, COP and TRY show idiosyncratic positive correlation with AIQ reflecting low sensitivity to AI-tech cycle. They are driven by domestic factors and carry considerations owing to their relatively higher yields.

Exhibit 2: KRW, CNH and TWD are most sensitive to AI unwind and financial stress

EM FX weekly YTD correlation with Global Financial Stress Index (GFSI) on x-axis and AIQ on y-axis



Source: BofA Global research, Bloomberg

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What we like in EM now

Asia: We close our 1yr India NDOIS receiver position as target is met and we also close our long 5yr CGB position on a consolidating rally. We maintain 3M USD call, IDR 3M put spread on bearish IDR bias and remain short INR/KRW and THB/KRW. We think INR and THB will continue to underperform on current account divergence (tourism, soft vs hard tech). We are medium-term constructive CNY, though dividend payment season may slow appreciation against USD. Short EUR/CNH or SGD/CNH offers more upside.

EEMEA: Short 2M USD/TRY as FX forward risk premiums have risen sufficiently to price in inflation and domestic political risks. We stay long USD/ZAR, which remains the best hedge in our view given its high beta to Iran, EMFX and the GBI-EM. We like NGN given the support from energy exports and carry.

We are long 4y KZT bond FX-unhedged at 15.9% and hedge 50% of the exposure by selling EURUSD. The bond view is supported by the prospect of expected NBK cut in July. We see value in HUF long-end bonds given the Euro accession theme. In EXD, we remain long Romania vs South Africa and continue to like long Abu Dhabi vs Qatar. We stay OW Ukraine, though the risks escalation of Russia attacks is a concern.

LatAm: We stay long Argentina real yields via BONCER 2028 FX-hedged bonds. We like long PEN against a basket of CLP and MXN. We continue to like BRL (best to be funded in EUR), which despite its strong performance, remains cheap vs the major improvement in its terms of trade. In Mexico, we are long breakevens given a dovish Banxico. In EXD, we opened a new trade to buy DomRep vs Costa Rica and Guatemala. Argentina and Ecuador remain our preferred names, while we have moved Colombia to market weight.

Asia Economics

Benson Wu, CFA
Merrill Lynch (Hong Kong)

Janice Xue
Merrill Lynch (Hong Kong)

China: Will ample monetary liquidity continue to last?

Complete Report: [China Viewpoint: Will ample monetary liquidity continue to last? 08 June 2026](#)

Liquidity remained ample in the money market...

Following the policy guidance from CEWC last Dec, PBoC set the goal in maintaining a moderately loose monetary policy stance and keeping liquidity reasonably ample this year, while the current money market conditions suggest that the liquidity objective has already been more than fulfilled, especially in the recent two months. DR001 fell to about 1.22-1.24% range in April and stayed below 1.3% in May, while DR007 also moved below the 7-day OMO policy rate (1.4%) for much of April-May (Exhibit 3). Additionally, the 1y MLF rate has inched down further to 1.45%, according to Bloomberg.

...largely due to weak credit demand

While market narratives have focused on a range of potential drivers, from stepped-up PBoC FX purchases to faster fiscal deployment, we believe subdued credit demand was the dominant factor. This is not a new story, but weak loan demand has become more pronounced over Jan-Apr, with new RMB lending falling to multi-year lows. It underscores the still-limited transmission of liquidity into the real economy, on the back of 1) weak sentiment in the private sector, including both corporates and households; 2) a crowding in of fiscal and bond financing; 3) a rotation in growth engines toward sectors with lower credit intensity.

Corp FX conversion also facilitates base money injection

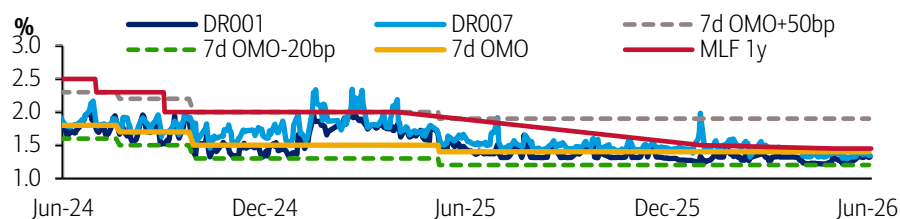
In addition, with continued RMB appreciation, we see exporters starting to increase their FX conversion since end-2025. Although such net increase is still relatively limited compared with domestic liquidity operations, it unleashed additional liquidity to the domestic market. We see RMB300bn of base money injection in Jan-Apr from PBoC via FX purchases, such trend may continue, but we expect the pace to remain gradual.

Expect inter-bank liquidity to stay ample in near-term

In terms of PBoC's guidance, the expansion of structural policy tools in Mar-May points to a continued emphasis on supporting credit growth from central bank's perspective. However, in the absence of an immediate pickup in credit demand and overall domestic demand momentum, we expect liquidity to continue to remain ample in the near term.

Exhibit 3: DR007 to come below the 7d OMO in recent months

DR001, DR007 vs 7d OMO and interest rate corridor (2022-26)



Source: CEIC; Note that the dotted line representing the interest rate corridor (7d OMO -20bp to +50bp) data as of end-May, MLF after March 2025 were based on Bloomberg estimates

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Asia Strategy

Claudio Piron

Merrill Lynch (Singapore)

Complete Report: [GEMs FI & FX Strategy Watch: Asset Manager Tracker – bond underweights ease, but Asia & FX lag 09 June 2026](#)

Though the Iran conflict entered its second month, some improvement was seen in April asset manager local EM bond positioning. On an aggregate basis across the top ten countries in the GBI-EM Global Diversified Index, funds significantly decreased their underweight bond positions relative to the benchmark to 6.36% (8.79% previously) while their underweight exposure to FX increased moderately to 5.43% (5.31% previously).

The underweight positioning in Asia remains close to extreme levels, though the underweight position in China appears to have stabilized as CNY FX performance holds in.

In April, the overweight positions in bonds remained concentrated in South Africa, Brazil, Mexico, and Colombia. The overweight FX positions were concentrated in BRL, ZAR, COP and MYR. Notably, cash levels fell to 6.95%, after reaching the highest since March 2022 last month. Duration exposure in April increased to 5.49.

Bonds – Colombia continues to be the most favored

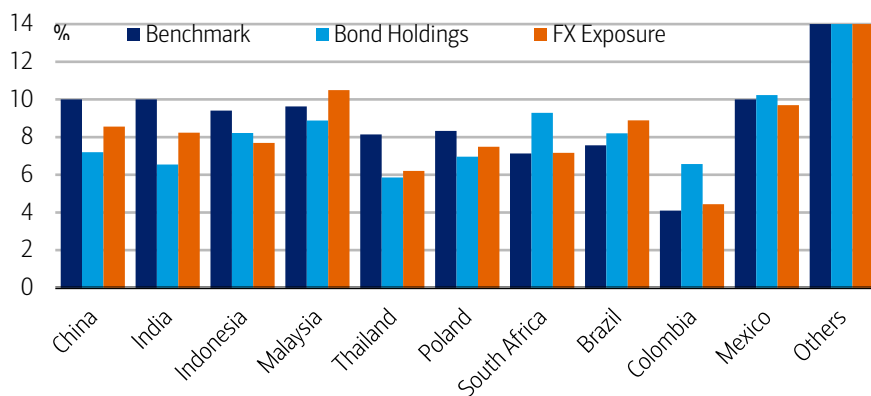
Colombia (2.47% overweight) bonds continued to be most favoured by funds we track, followed by South Africa (2.16%). In contrast, funds remained underweight in China, India, Indonesia, Malaysia, Thailand, and Poland bonds.

FX – BRL is the most overweight; CNY perennial underweight

In April, BRL (1.32% overweight) was the most favored currency by GBI-EM indexed funds we track closely. Notably, funds turned overweight in MYR at 0.87%. while staying underweight in other Asian currencies. THB was the least preferred FX in the pack (1.93% underweight), followed by INR at 1.76% underweight. CNY remains underweight at -1.44%, but this is an improvement relative to -3%/-4% in 2025.

Exhibit 4: Emerging Markets bond holdings and FX exposure in Apr-26

Colombia and South Africa bonds continue to be most favored in the EM



Source: BofA Global Research, Fund factsheets

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EEMEA Economics

Jean-Michel Saliba
MLI (UK)

Mai Doan
MLI (UK)

Tatonga Rusike
MLI (UK)

Loic Porte
MLI (UK)

Hande Kucuk
MLI (UK)

London Small Talks: what did we learn for EM?

Complete report: [Emerging Insight: London Small Talks – what did we learn for EM? 10 June 2026](#)

Central and Eastern Europe (CEE): constructive backdrop, rising divergence

Hungary stands out, with the administration's commitment to European Exchange Rate Mechanism (ERM2) entry as soon as possible reinforcing positive market sentiment and a stronger medium-term ratings story. Near-term rate cuts are likely, but the National Bank of Hungary (NBH) will be cautious and data dependent. Romania's 2026 fiscal picture is much better than expected, with the deficit tracking well below 6%, helping to cushion near-term political uncertainty. However, forming a government before end-June is critical to avoid a significant loss of European Union (EU) funds. 2027-28 remains the real test. In Czechia, an extended period of high energy prices and looser fiscal trends argue for a more hawkish the Czech National Bank (CNB). We now expect further rate hikes, potentially to 4% by end-26, although market pricing beyond that looks excessive.

Czechia: fiscal outlook, energy explain hawkish CNB shift

The discussion at our conference points to a meaningful shift in Czechia's fiscal mindset: public support for budget restraint has weakened relative to previous years. In the coming year, fiscal numbers remain manageable, with the deficit likely to be around 3% or slightly above in 2027, from slightly under 3% expected in 2026. However, the erosion of consolidation discipline, combined with persistent spending pressures and a more permissive political mindset, points to a structurally wider deficit path in the years ahead.

With fiscal policy becoming incrementally looser, monetary policy may need to remain even more cautious, especially in an economy with limited spare capacity. At present, there is a visible verbal clash between Prime Minister Babiš, who is pushing for lower interest rates, and Governor Michl, who remains hawkish. In that context, the Czech National Bank (CNB) may have an additional institutional incentive to demonstrate strength and independence. Comments from CNB Board member Prochazka this week indeed reveal a clear hawkish shift. Prochazka was explicit that he is considering a pre-emptive rate hike on 18 June as a signal of the central bank's intention to keep a lid on inflation.

We therefore revise our CNB rate call to now expect a 25bp hike to 3.75% this month. An extended period of higher energy prices, against a backdrop of looser fiscal policy, helps explain the hawkish shift. The May Consumer Price Inflation (CPI) release, which showed a further uptick in services inflation (4.6% year-on-year (yoy)), adds to the CNB's caution about underlying price pressure. We think another 25bp hike could come before year-end, probably in August, if oil prices do not normalize soon and core/services inflation shows no signs of reversing. This would leave the Year-end (YE)2026 policy rate at 4.0%. Market pricing of the CNB hiking to 4.25–4.50% is overdone, in our view, given the pre-emptive nature of upcoming CNB hikes and our expectation of only a short tightening cycle by the European Central Bank (ECB).



Hungary: ERM2 reinforce constructive sentiment

The conference reinforces investors' positive views on Hungary, despite already long positioning since the election and continued uncertainty around the fiscal situation. We see a strong commitment across the administration for Euro (EUR) adoption, with potential European Exchange Rate Mechanism (ERM2) entry before the end of the current parliamentary term (April 2030), earlier than we had previously envisaged (see Hungary Viewpoint: Tisza's EUR aspiration – an underappreciated theme 08 April 2026).

The National Bank of Hungary (NBH) is maintaining a hawkish stance given elevated external uncertainty and the intention to strengthen its credibility ahead of a Consumer Price Inflation (CPI) target change. This suggests a risk of a one- to two-month delay to our current expectation for a 25bp rate cut on 23 June. Combined with the lack of strong pushback from the authorities on Hungarian Forint (HUF) strength, a hawkish National Bank of Hungary (NBH) means the HUF can continue to appreciate gradually, although the NBH could offset this with some discreet intervention.

2026 budget deficit not to derail EUR aspiration

With the 2026 deficit much higher than expected, at around 6.8% of Gross Domestic Product (GDP) versus the pre-election consensus of below 6%, the new government will focus on three pillars of fiscal consolidation in order to meet the 3% Maastricht criterion by 2030: reducing wasteful spending, increasing European Union (EU) funds utilization, and lowering interest costs. There could be savings of 2–3% of GDP from reducing corruption in the procurement process, according to authorities. Greater use of EU funds instead of the national budget for investment could save around 1% of GDP (with EUR8–9bn in EU funds expected in late 2026). A 200bp decline in bond yields could reduce interest expenditure by around 1% of GDP by 2030. Elsewhere, more than 1% of GDP in one-off expenditure in 2026 will drop out next year.

The authorities are cautious not to count on any positive budgetary impact from higher GDP growth, which we estimate could amount to nearly 0.5% of GDP. In the longer term, a funding strategy shifting away from retail financing toward Eurobonds could further reduce debt-servicing costs, although this has not been included in the figures above. Meanwhile, sectoral taxes and incentives for banks to hold government bonds will be phased out over time in a way that should not materially affect the budget or financing.

Key milestones to watch are end-June for the full 2026 budget review, end-summer for the 2026 budget revision, and end-October for the medium-term fiscal plan and EUR roadmap.

EUR roadmap more frontloaded than we thought: ERM2 by 2030

The government and the central bank are keen to enter the EU's Exchange Rate Mechanism (ERM2) sooner rather than later, given the perceived benefits of FX stability, lower inflation, and reduced borrowing costs. The convergence timeline will be formalized in autumn 2026, when the 2027 budget is submitted to parliament alongside an updated medium-term fiscal stability plan to be submitted to the European Commission by mid-October. We think the administration will want to start a formal ERM2 entry negotiation with the ECB soon after.

EEMEA Strategy

Raghav Adlakha
MLI (UK)

TURKIYE EXD: Global, fiscal risks abound

Complete report: [Emerging Insight: TURKIYE EXD: Global, fiscal risks abound 07 June 2026](#)

Move to MW amidst growing risks

TÜRKIYE EXD has lagged the rest of MENA HY since the start of the war

TÜRKIYE has struggled to keep pace with MENA HY, with its 30Y spread vs MOROC, EGYPT, JORDAN and BAHRAIN going from an average of 3.65 bps in January, to 10.5 bps by June. We see a similar trend in the 10Y sector, where TÜRKIYE is now trading 1.3 notches cheap to rating, its highest discount since 2021.

Exhibit 5: Turkish credit risk premia are the highest they've been since 2021

TÜRKIYE 10Y spread implied discount to rating since 2015, in notches



Source: BofA Global Research, Bloomberg

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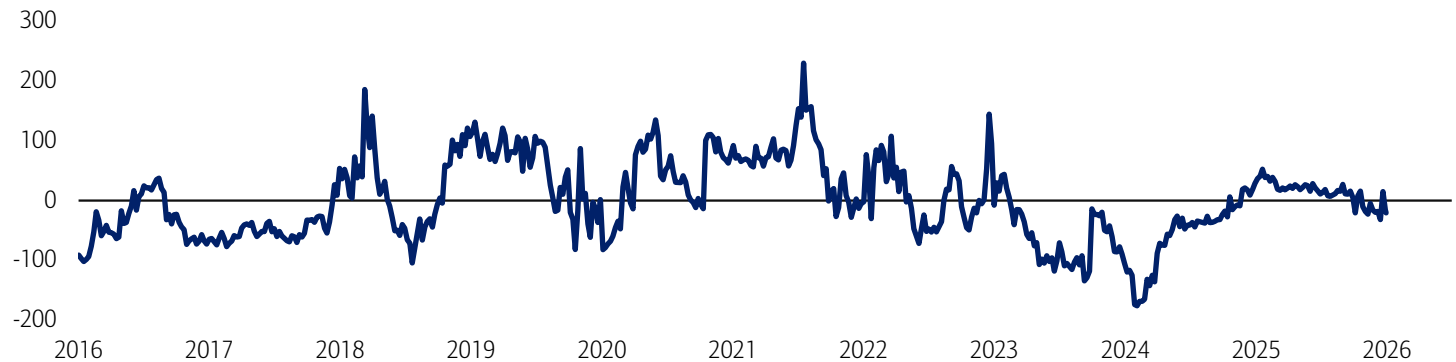
...but this risk premium appears fair given global factors, fiscal and real rates

Is this risk premium justified? To assess this, we try to estimate the fair value for Turkish 10Y spreads (ex-EM) using a combination of global factors (DXY, oil, the Fed's monetary stance) and economic fundamentals (reserves, trade balances, fiscal deficit expectations, real policy rates). Oil, fiscal deficit expectations and real rates are the most important forward-looking drivers of Turkish risk premia, as they are the key determinants of future reserve accumulation.



Exhibit 6: Türkiye 10y spreads (ex-EM spreads) are 20 bps too rich given fiscal deficit expectations, real rates and oil prices

Residuals from regressing consensus fiscal deficit expectations, oil prices and real rates on TÜRKİYE 10y – EM EXD spreads



Source: BofA Global Research, Bloomberg

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Based on these fundamentals, Turkish spreads appear ~21 bps to rich, the 42nd percentile of cheapness since 2015, implying to us that the relative rise in Turkish spreads is roughly fair given the gentle deterioration in deficit expectations and real policy rates since the start of the Iran War. However, since the rally in the Turkish spreads (relative to MENA HY) over the last month, we no longer believe that risks at these levels are asymmetric and hence move the credit to Marketweight.

In our view, the stagflationary shocks from the conflict pose a two-sided problem: higher real rates will weaken fiscal balances in an already weakening economy, but looking through the inflation shock may place further pressure on reserves in a backdrop where short-term external debt obligations are rising. Furthermore, as we head closer to 2027, there could be political risks from potential elections.

Exhibit 7: Short-term external debt stocks have risen since February '26

Short term (<2y) external debt stocks by nominal GDP, monthly data since 2016



Source: BofA Global Research, Bloomberg

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Rising new issue concessions: a canary in a coalmine?

A leading indicator of this stress may be the rise in new issue concessions we have seen in TÜRKİYE, relative to the new issue premiums in other HY credits in April and May. With short-term external debt maturities rising, this may be a persistent headwind to TÜRKİYE spreads over the coming year.

LatAm Economics

Carlos Capistran
BofAS

Mexico: Inflation slips below 4%

Headline inflation decelerated in May...

Headline inflation was below expectations at 3.94% yoy (E. 4.03%, BofA 4.03%) in May, down from 4.45% in April (Exhibit 8, Exhibit 9). On a monthly basis, headline inflation was -0.21% mom nsa, reflecting a sharp fall in fruits and vegetables and in energy prices (-3.18 and -2.98% mom, respectively). The former was largely driven by a -28.3% decline in tomato prices, while the latter partly reflected lower electricity prices (-17.9%).

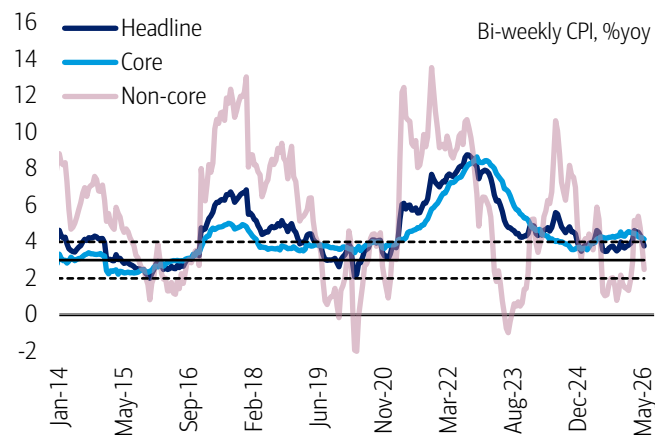
Complete report: [Mexico Watch: Inflation slips below 4%, but not for long 09 June 2026](#)

...with core inflation easing but still above 4.0%

Core inflation also was below expectations at 4.19% yoy (E. 4.19%, BofA 4.22%), down from April's 4.26% print (Exhibit 10). Services inflation accelerated to 4.57% yoy from 4.52%, despite a weak economy but maybe impacted by the FIFA World Cup, while merchandise inflation fell to 3.78% yoy from 3.99%, helped by a strong currency. Our measure of domestic inflation eased to 3.90% yoy (from 3.93%) (Exhibit 11).

Exhibit 8: Headline and core fell to 3.94% and 4.19% respectively in May

Headline, core, and non-core inflation (%yoy) (2014-2026)

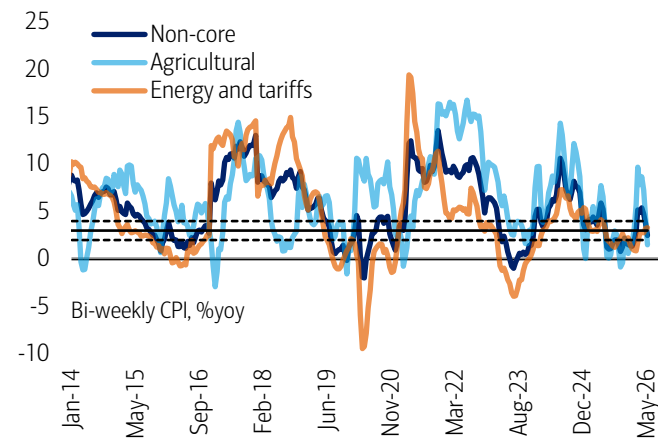


Source: BofA Global Research, INEGI

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Exhibit 9: Non-core at 3.10% in May is helping headline inflation

Bi-weekly non-core inflation (%yoy) (2014-2026)



Source: BofA Global Research, INEGI

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Forecast update: lower end-2026 inflation

We incorporate May data and persistently higher oil prices following the Iran conflict, though the situation remains fluid. The impact on inflation is contained, as the government uses oil revenues to offset gasoline excise taxes (IEPS) and keep pump prices stable. We now forecast headline inflation at 4.54% by end-2026 (from 4.60%) and 4.03% by end-2027 (from 3.96%). We expect core at 4.24% by end-2026 (from 4.40%) and 3.99% by end-2027 (from 4.01%). Risks are balanced: upside from the World Cup and Middle East tensions, and downside from weak activity and a relatively strong peso.

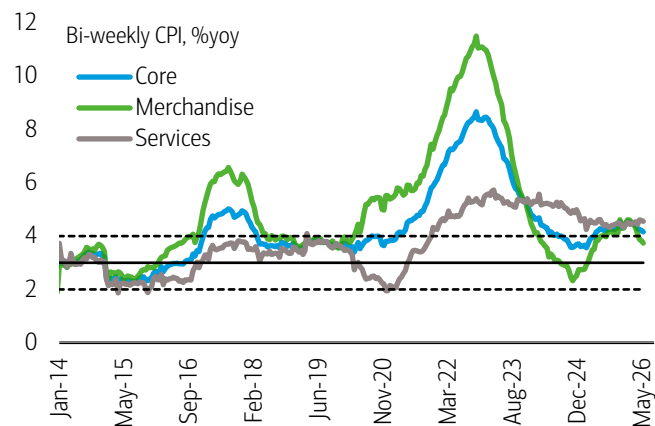


Banxico: Steady at 6.50%, downside bias

We expect Banxico to keep the policy rate at 6.50% through the rest of 2026. This print brought headline inflation below 4% which will likely keep Banxico on the dovish side in the context of a negative output gap and a relatively strong peso. While higher oil prices, persistent inflation, or tighter Fed policy pose upside risks, the bar for hikes over the next year is high given Banxico's tolerance for above target inflation (Exhibit 12, Exhibit 13).

Exhibit 10: Merchandise helped ease core in May

Bi-weekly core inflation (%yoy) (2014-2026)

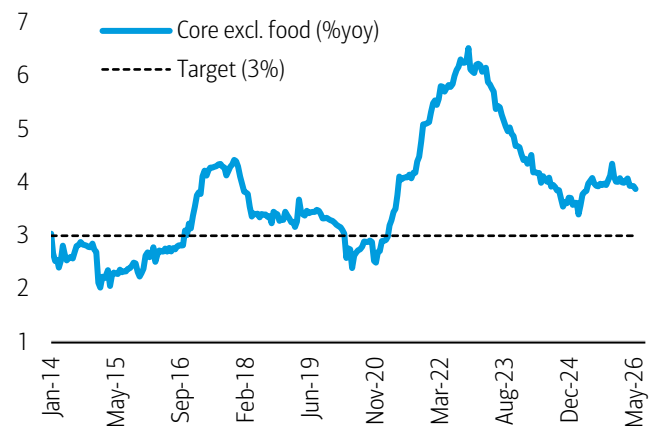


Source: BofA Global Research, INEGI

BofA GLOBAL RESEARCH

Exhibit 11: Core ex-food eased to 3.90% in May

Bi-weekly core inflation excl. food (%yoy) (2014-2026)

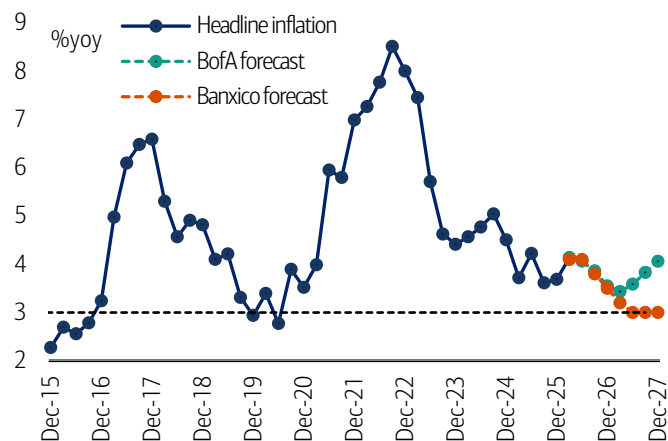


Source: BofA Global Research, INEGI

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Exhibit 12: We expect headline inflation above Banxico's forecasts

Headline inflation forecasts (%yoy) (2015-E2027)

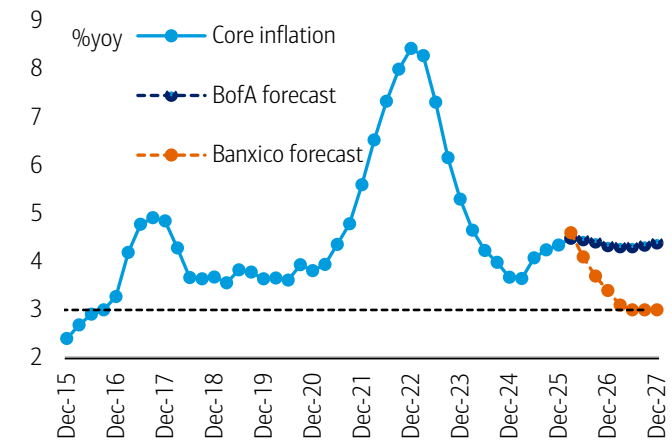


Source: BofA Global Research, Banxico

BofA GLOBAL RESEARCH

Exhibit 13: We expect core inflation to stay above Banxico's target

Core inflation forecasts (%yoy) (2015-E2027)



Source: BofA Global Research, Banxico

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LatAm Strategy

Alexander Muller
BofAS

Ezequiel Aguirre
BofAS

Peru elections – Uncertainty lingers

The difference between the two presidential candidates is very tight. Uncertainty lingers. Sanchez proposes a new Constitution, which could depress private investment. Fujimori focuses on deregulation. On strategy, we have a long PEN trade recommendation and remain positive on equities (given macro and metals outlook).

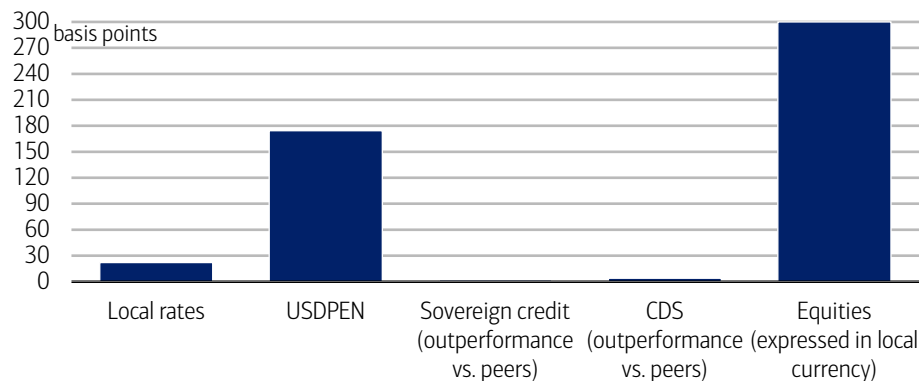
Complete report: [Peru elections – Uncertainty lingers 10 June 2026](#)

An extremely tight election, like no other in LatAm

Peru held a runoff election on Sunday, 7 June. Sanchez proposes to re-write the Constitution, which could depress private investment (similar to what happened in Chile, in 2019-2023), and expand the role of the state in the economy (risk of fiscal slippage). Meanwhile, Fujimori's economic policy proposals focus on deregulating the mining industry and keeping macroeconomic discipline.

Chart of the Day: Market reaction after the runoff election

Equities have rallied the most. External debt and CDS have moved very little



Source: BofA Global Research, Bloomberg

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No minimum vote margin that triggers recount

In many US states, when the vote difference between two candidates reaches a minimum level, the law automatically triggers a recount. There is no such regulation in Peru. A candidate can win by one vote. The National Electoral Jury (JNE) – which settles the legal matters related to the election – stated it will proclaim the official results on 15 July. Uncertainty may linger until then. There is a risk that the losing side could challenge the results, which could potentially trigger social unrest.

Fujimori showing higher probability in prediction markets

In the prediction markets, Kalshi shows a probability of 94.1% for Fujimori winning the election, and Polymarket 94.2%. Likewise, as shown in the Chart of the Day (see above), Peruvian financial assets are rallying (local rates, FX, credit, CDS, equities). Such rallies are typical in Latin American countries when a conservative presidential candidate wins the election because they usually have more investor/corporate-friendly economic proposals. The rally in credit and CDS has been very small though.

Relief for the mining sector reflected in equity prices

In Peru, the asset class that is showing the largest rally is equities. The Peru stock exchange is up by 3% compared to the day before the runoff. Perhaps because mining stocks account for the largest share of Peru's equity index, and Sanchez had a hostile discourse towards mining (tax hikes, new Constitution, scrutiny of contracts, among



other proposals). Financial stocks are also doing well. In the recent presidential debate (31 May) Sanchez said his administration would use the mining sector “to achieve the democratization of wealth”.

Peru election may be marking the consolidation of a trend

Since 2025, there have been six elections in Latin America – Ecuador, Bolivia, Honduras, Argentina, Chile, Costa Rica – all of which were won by conservative candidates at the expense of leftist adversaries. Peru would be the seventh if Fujimori wins. And Colombia – to be held on 21 June – could become the eighth. In Peru, political analysts argue the most formidable force in Peruvian politics is anti-Fujimori sentiment (rejection of former President Alberto Fujimori’s legacy) which – in their view – explains why Keiko, his daughter, lost three consecutive runoffs (2011, 2016, 2021). That is why Fujimori potentially winning in 2026, in her fourth try, would be supportive of the Latam trend hypothesis.

Clearer picture of economic policy under Fujimori

Visualizing what economic policy would look like in a Fujimori government is easier because the Fujimoristas were in office for over a decade (Keiko says she feels proud of her father’s economic policy decisions) and controlled majorities in Congress since 2016. Inter alia, we believe there would likely be a deregulatory push in the mining sector (to boost the ~\$60bn in mining projects), macro discipline, civil service modernization reform, and efforts to sell Petroperu’s assets (reducing the drag on fiscal accounts) although with some changes compared to the decree passed by the government last December.

Guidance on fiscal policy is a bit mixed though

On the one hand, the message is hawkish. Fujimori’s economic advisers have proposed to cap the growth of current government expenditures at the inflation rate (so these should shrink, as a percent of GDP, if nominal GDP growth is positive) and request the Constitutional Tribunal to prevent Congress from approving laws that increase government expenditures (in line with Article 79 of the Constitution, whose enforcement weakened a lot in the last two years). But on the other hand, Keiko Fujimori has a proposal to set a zero-percent income tax rate for small firms during their first three years of operation, which could imply the foregoing of a large amount of revenues.

Risk of capital outflows has diminished substantially

In 2021, the year in which Pedro Castillo was elected president, \$ 17.2bn (7.5% of GDP) of short-term capital from non-financial corporations and households fled Peru. This item is shown under the “other investments” category of the financial account, in the BPM6 balance of payments manual, for comparison purposes with Chile and Colombia. Peru calls it “short-term capital”.

FX Strategy

We maintain our long PEN trade recommendation (see report: [EM Alpha: Peru – Stay Long PEN Ahead of Runoff 04 June 2026](#)). We went long PEN (currently at 3.4091) expecting a pro-market election outcome, and the stronger economic outlook that will follow. We see further upside for the currency, supported by favorable terms of trade and a market friendly deregulation agenda. We forecast PEN to appreciate to 3.15 by end of 2027. Risks are a global risk-off environment and lower copper prices.

Sovereign Strategy

Jane Brauer
BofAS

Lucas Martin, CFA
BofAS

Raghav Adlakha
MLI (UK)

Vladimir Osakovskiy >>
Merrill Lynch (DIFC)

Investors & issuers clamoring to meet each other in the EUR primary market this year

Complete reports: [Investors & issuers clamoring to meet each other in the EUR primary market this year](#)

EUR Issuance in EM bonds surged in 2025

EM EUR bond issuance has become a more significant part of the external-debt market. Issuance reached \$123bn in 2025, up 80% from \$69bn in 2024, increasing EUR's share to 19% of total USD+EUR supply. Activity remains strong in 2026, with \$55bn issued YTD, or about 20% of supply. This indicates a steady increase in the use of EUR funding by EM issuers, a trend that we expect will continue.

What does this large EUR issuance tell us?

Demand for EUR bonds is expanding as investors look for non-USD hard-currency exposure. Although index inclusion remains important, there is increasing demand for bonds outside benchmark indices. Some EUR investors are also choosing EUR bonds to avoid hedging USD exposure back into EUR. This has widened the buyer base beyond traditional index-driven demand. With demand this high, borrowers can finally issue in large sizes, resulting in more consistent support for EUR issuance.

90% increase in EUR sovereign issuance 2025 over 2024

The increase in EUR issuance is mainly coming from sovereigns. Sovereign EUR supply rose to \$69bn in 2025 from \$36bn in 2024, a 90% YoY increase. Corporate issuance also grew, to \$54bn from \$33bn, but remains a smaller share of total funding. As a result, overall EUR market growth is led by sovereign borrowing decisions.

Implications for issuers and investors

For issuers, the EUR market offers lower coupons and lowers the sensitivity of the debt ratio to currency fluctuations, a benefit as a surge in demand in the last year has enabled larger issue sizes, with improved liquidity in the secondary market. For investors, EUR bonds provide additional relative-value opportunities and currency diversification. However, liquidity is still below that of the USD market. Returns depend heavily on FX exposure and hedging choices.

EUR vs USD EXD: Supported by US Treasury-Bund spreads

While narrower than 2025, hedged EUR vs USD yields remain juicy across EMs, especially among high-beta issuers like ARGENT, ROMANI, EGYPT and IVYCST. These are further amplified by our in-house view that 10y Treasuries are likely to widen vs Bunds in the near term. However, continued negative global sentiment is likely to widen hedged EUR vs USD yields, as shallower EUR curves face more pressure during risk-off episodes.



Exhibit 14: Among Sovereigns, Asia posted the largest EUR share. But EEMEA has the largest EUR share among Corporates.

EM issuance by currency per region in \$bn in 2024, 2025 and 2026, and EUR %

	2024			2025			2026 YTD		
	EUR	USD	EUR % Total	EUR	USD	EUR % Total	EUR	USD	EUR % Total
Sovereign	36	138	21%	69	181	28%	35	95	27%
Asia	4	18	18%	11	17	39%	3	9	26%
EEMEA	28	85	25%	40	101	28%	17	56	23%
LatAm	4	35	10%	19	62	23%	15	30	33%
Corporate	33	305	10%	54	356	13%	20	130	13%
Asia	8	145	5%	17	159	10%	6	50	10%
EEMEA	25	105	19%	36	119	23%	14	53	21%
LatAm	0	55	0%	1	77	1%	0	27	0%
Total	69	442	14%	123	537	19%	55	226	20%
Asia	12	162	7%	28	177	14%	9	59	13%
EEMEA	53	189	22%	76	221	26%	31	109	22%
LatAm	4	91	4%	20	140	12%	15	57	21%

Source: BofA Global Research, Bloomberg

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Exhibit 15: 2025 has marked a record for EUR issuance, with the largest tenors in 4 years

Issuance in \$bn and average tenors in years, per currency since 2017 – 2026 YTD

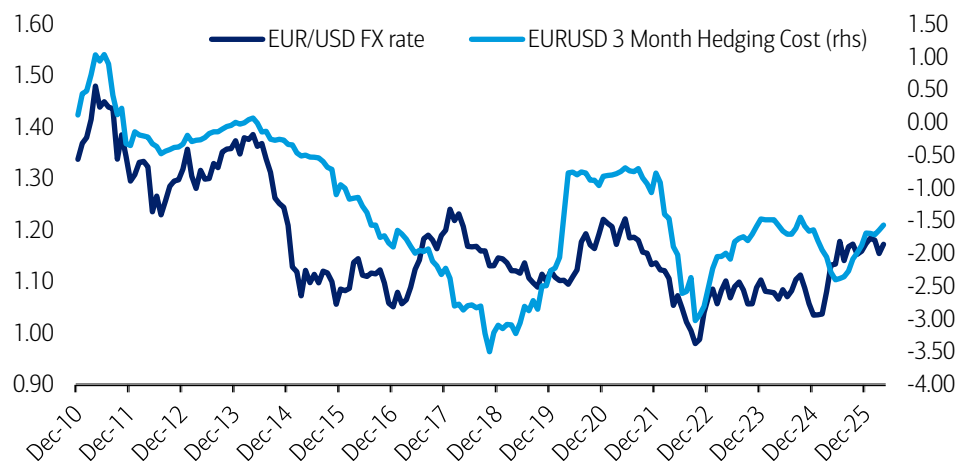
Year	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026
Issuance in \$bn										
EUR	56	57	73	79	79	36	50	69	123	55
USD	560	415	538	614	585	246	285	442	537	226
% EUR	9%	12%	12%	11%	12%	13%	15%	14%	19%	20%
Average tenors in years										
EUR	7.2	7.1	8.6	7.6	9.1	4.5	5.4	5.9	6.5	6.9
USD	7.7	6.7	6.9	8.5	7.4	5.8	6.7	6.6	6.3	7.5

Source: BofA Global Research, Bloomberg

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Exhibit 16: EUR has been strengthening vs the USD, while the hedging cost decreased slightly in the last few months

EUR/USD FX rate and Bloomberg EURUSD 3m hedging cost (in % annual terms, rhs) since Dec'2010



Source: BofA Global Research, Bloomberg

Note: The FXHCEUUS Index ticker shows the 3m EUR hedge cost for USD-based investors on an annualized basis. This is based on the assumption the investors sell USD to buy EUR in the spot market and simultaneously sell EUR in the forward market to buy back USD.

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Credit Risk Premium Model

Exhibit 17: 10Y Credit risk premium table

Credit risk premium is the difference, in bps or notches, between the implied rating and the actual rating

Country	Z spread (bps)	Actual rating	Implied rating	Implied change, notches	Current Risk Premium (bps)	Average 12M RP (bps)	1W Δ in RP (bps)	4W Δ in RP (bps)	Z score of RP (12M)	Range (12M)
ASIA										
Hong Kong	45	AA	AAA	2.3	-26	-23	-1	-2	-0.6	-32 / -16
Indonesia	128	BBB	BBB+	0.7	-11	-40	-3	10	1.9	-67 / -8
Philippines	117	BBB+/BBB	A-/BBB+	1.2	-17	-37	-2	-1	1.7	-57 / -14
South Korea	53	AA	AAA/AA+	1.8	-17	-6	-1	-2	-1.2	-24 / 9
LATAM										
Argentina	489	B-	CCC+	-0.5	45	95	-14	-28	-0.4	-82 / 649
Bahamas	243	BB-	BB-	0.1	-4	19	-3	11	-0.9	-21 / 67
Brazil	219	BB+/BB	BB	-0.6	19	-4	8	8	2.0	-23 / 19
Chile	108	A	A-	-0.5	6	3	4	5	0.7	-9 / 13
Colombia	243	BB+/BB	BB-	-1.2	42	94	-3	-49	-2.2	42 / 161
Costa Rica	165	BB	BBB-	1.7	-46	-60	2	5	1.1	-87 / -44
Dominican Repb.	214	BB	BB	0.3	-8	-31	2	-2	1.3	-66 / -1
Ecuador	453	B-	B-/CCC+	-0.1	9	5	4	11	0.4	-28 / 25
El Salvador	322	B-	B+/B	1.4	-95	-105	-2	4	0.8	-133 / -82
Guatemala	159	BB+	BBB-	1.0	-23	-19	0	1	-0.8	-31 / -9
Honduras	230	BB-/B+	BB/BB-	1.0	-38	9	-1	-5	-1.1	-60 / 77
Jamaica	152	BB/BB-	BBB-	3.0	-82	-77	-2	-8	-0.6	-88 / -65
Mexico	192	BBB/BBB-	BB+	-1.7	40	31	-0	-11	1.3	18 / 51
Panama	151	BBB-	BBB/BBB-	0.7	-15	21	-0	5	-1.2	-21 / 73
Paraguay	143	BBB	BBB	1.1	-23	-33	3	7	1.9	-45 / -22
Peru	122	BBB	BBB+	1.1	-17	-18	-3	-2	0.3	-25 / -7
Suriname	319	CCC/CCC-	B+/B	4.2	-388	-376	5	29	-0.3	-469 / -303
Trinidad and Tobago	206	BB+	BB	-0.8	24	62	2	-1	-1.9	19 / 113
Uruguay	97	BBB+	A	2.4	-31	-37	1	7	1.1	-54 / -28
EMEA										
Abu Dhabi	92	AA	A+/A	-2.5	25	16	0	-2	1.2	6 / 32
Angola	472	B-	B-/CCC+	-0.6	55	147	-2	7	-1.5	17 / 234
Armenia	211	BB-	BB	1.0	-36	-22	-2	8	-1.0	-44 / 5
Bahrain	309	B	B+	0.7	-38	-83	3	3	1.6	-127 / -7
Benin	315	BB-/B+	B+/B	-0.8	40	74	4	-6	-1.5	35 / 120
Bulgaria	122	BBB+	BBB+	0.1	-2	-12	1	2	1.0	-45 / -1
Congo DR	494	B-	CCC+	-0.9	77	74	3	29	0.2	48 / 98
Egypt	395	B/B-	B-	-0.0	4	-11	2	4	0.5	-67 / 52
Ghana	303	B-	B+	1.8	-114	-86	5	-16	-1.1	-123 / -1
Hungary	142	BBB	BBB	0.1	-2	9	-1	5	-1.4	-7 / 25
Israel	137	A/A-	BBB	-2.2	31	32	0	3	-0.2	23 / 56
Ivory Coast	275	BB	BB-/B+	-1.7	64	125	2	-24	-1.7	62 / 202
Jordan	259	BB-	BB-	-0.3	11	16	-1	-5	-0.3	-12 / 75
Kazakhstan	104	BBB	A/A-	2.5	-34	-29	-4	-6	-0.5	-74 / -14
Kenya	459	B/B-	B-/CCC+	-0.8	68	43	-4	-10	0.9	-15 / 108
Kuwait	103	AA-	A/A-	-2.1	23	17	0	0	1.1	10 / 30
Morocco	160	BBB-/BB+	BBB-	0.6	-13	-29	1	5	1.6	-51 / -13
Nigeria	310	B	B+	1.0	-59	-27	-3	2	-0.9	-92 / 51
Oman	137	BBB-	BBB	1.1	-21	-36	2	4	0.9	-68 / -10
Poland	121	A/A-	BBB+	-1.2	15	8	-1	4	1.7	0 / 17
Qatar	84	AA	AA-/A+	-1.7	17	17	0	-3	-0.1	10 / 35
Romania	220	BBB-	BB	-2.2	61	54	4	2	0.5	23 / 75
Saudi Arabia	121	AA-/A+	BBB+	-3.2	38	37	-0	-5	0.2	29 / 50
Senegal	1481	CCC+	SD	-5.0	976	596	28	50	1.7	264 / 986
Serbia	169	BB+	BBB-/BB+	0.6	-13	-25	-2	-1	1.1	-45 / -7
Sharjah	224	BBB-/BB+	BB	-1.9	54	14	-1	-4	1.6	-18 / 58
South Africa	209	BB	BB	0.1	-2	-6	-6	-10	0.3	-33 / 17
Türkiye	306	BB-	B+	-1.3	58	23	-1	-0	1.7	-4 / 63
UAE	90	AA	A+	-1.9	19	4	1	2	1.6	-8 / 25
Ukraine	841	CCC	CCC-/CC	-1.1	181	-36	-15	-28	0.7	-507 / 470

For a description of the methodology please refer to the [GEMs FI Strategy Viewpoint](#). Source: Bloomberg, BofA Global Research

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CTA Monitor in EM

We update our CTA model for EM rates (Exhibit 30) and EM FX (Exhibit 31). For methodology see our reports [Tracking trend followers in LatAm rates](#), [Following Trend Followers in EM Rates](#), and [More CTA Models = Better Impact Estimates](#).

CTA model positioning in EM rates

Exhibit 18: EM Rates CTA model summary, by market and tenor

CTA model position, trend strength and stop loss levels, as well as 5-day bearish, neutral, and bullish projection of trend strength

Region	Country	Tenor	Position	Spot	Trend Strength	5-day trend projection			5-day rate projection			Unwind triggers	
						Bearish	Neutral	Bullish	Bearish	Neutral	Bullish	Receiver	Payer
LatAm	Brazil	2y	Payer	14.51	-81%	-77%	-83%	-76%	15.29 (+77bp)	14.45 (-7bp)	13.92 (-60bp)	--	14.02 (-50bp)
		5y	Payer	14.39	-82%	-81%	-80%	-78%	15.20 (+81bp)	14.40 (+1bp)	13.98 (-41bp)	--	13.94 (-44bp)
		10y	Payer	14.29	-79%	-76%	-77%	-68%	14.60 (+32bp)	14.28 (-1bp)	13.88 (-41bp)	--	13.91 (-37bp)
	Chile	2y	Payer	4.73	-45%	-37%	-19%	-17%	5.00 (+27bp)	4.74 (+1bp)	4.49 (-24bp)	--	4.58 (-15bp)
		5y	Payer	4.98	-35%	-38%	-21%	2%	5.28 (+31bp)	4.97 (-1bp)	4.71 (-26bp)	--	4.72 (-26bp)
		10y	Payer	5.31	-33%	-31%	-23%	-6%	5.50 (+19bp)	5.33 (+2bp)	5.15 (-16bp)	--	4.96 (-35bp)
	Colombia	2y	Neutral	11.67	-47%	-32%	-27%	-23%	12.21 (+55bp)	11.70 (+3bp)	11.00 (-66bp)	--	--
		5y	Neutral	10.98	-48%	-30%	-23%	-15%	11.63 (+65bp)	10.92 (-5bp)	10.10 (-88bp)	--	--
		10y	Neutral	10.72	-49%	-20%	-12%	5%	11.42 (+70bp)	10.63 (-8bp)	9.84 (-87bp)	--	--
	Mexico	2y	Payer	7.18	-18%	-10%	1%	16%	7.62 (+44bp)	7.20 (+2bp)	6.92 (-25bp)	--	5.90 (-128bp)
		5y	Payer	7.80	-51%	-30%	-23%	-19%	8.29 (+49bp)	7.79 (0bp)	7.48 (-32bp)	--	7.49 (-30bp)
		10y	Payer	8.22	-54%	-43%	-34%	-21%	8.66 (+45bp)	8.24 (+3bp)	7.91 (-30bp)	--	7.97 (-25bp)
EEMEA	Czechia	2y	Payer	4.30	-66%	-63%	-59%	-56%	4.72 (+43bp)	4.31 (+1bp)	3.95 (-35bp)	--	3.98 (-32bp)
		5y	Payer	4.42	-66%	-63%	-59%	-48%	4.88 (+46bp)	4.44 (+2bp)	4.06 (-35bp)	--	4.14 (-27bp)
		10y	Payer	4.53	-64%	-61%	-54%	-48%	4.96 (+43bp)	4.55 (+2bp)	4.21 (-32bp)	--	4.36 (-17bp)
	Poland	2y	Payer	4.26	-61%	-52%	-46%	-36%	4.64 (+38bp)	4.27 (+1bp)	3.91 (-35bp)	--	4.15 (-11bp)
		5y	Payer	4.39	-62%	-55%	-48%	-40%	4.78 (+39bp)	4.37 (-2bp)	4.04 (-35bp)	--	4.28 (-11bp)
		10y	Payer	4.65	-59%	-46%	-39%	-27%	5.04 (+40bp)	4.67 (+2bp)	4.34 (-31bp)	--	4.52 (-13bp)
	Hungary	2y	Receiver	5.43	80%	53%	81%	84%	6.17 (+74bp)	5.44 (+1bp)	4.99 (-44bp)	5.95 (+52bp)	--
		5y	Receiver	5.11	83%	73%	81%	85%	5.74 (+63bp)	5.13 (+2bp)	4.59 (-52bp)	5.61 (+50bp)	--
		10y	Receiver	5.01	86%	77%	82%	81%	5.68 (+67bp)	5.02 (+1bp)	4.49 (-52bp)	5.51 (+50bp)	--
	Israel	2y	Receiver	3.19	39%	48%	68%	67%	3.50 (+31bp)	3.23 (+4bp)	2.96 (-22bp)	3.66 (+47bp)	--
		5y	Receiver	3.22	62%	54%	81%	83%	3.53 (+31bp)	3.23 (+1bp)	2.99 (-23bp)	3.49 (+27bp)	--
		10y	Receiver	3.51	69%	73%	85%	85%	3.74 (+24bp)	3.49 (-2bp)	3.35 (-15bp)	3.70 (+20bp)	--
	South Africa	2y	Payer	7.47	-65%	-60%	-56%	-53%	7.84 (+37bp)	7.45 (-2bp)	7.09 (-38bp)	--	7.10 (-36bp)
		5y	Payer	7.65	-61%	-55%	-50%	-44%	7.97 (+33bp)	7.61 (-3bp)	7.15 (-50bp)	--	7.20 (-44bp)
		10y	Payer	8.11	-35%	-31%	-25%	-11%	8.47 (+37bp)	8.09 (-2bp)	7.70 (-41bp)	--	7.20 (-91bp)
Asia	Korea	2y	Payer	3.92	-78%	-80%	-76%	-73%	4.26 (+34bp)	3.95 (+3bp)	3.70 (-22bp)	--	3.72 (-20bp)
		5y	Payer	4.10	-83%	-84%	-79%	-75%	4.36 (+26bp)	4.12 (+1bp)	3.88 (-22bp)	--	3.90 (-20bp)
		10y	Payer	4.15	-87%	-85%	-78%	-77%	4.39 (+24bp)	4.18 (+2bp)	3.96 (-19bp)	--	3.95 (-21bp)
	China	2y	Receiver	1.47	63%	35%	63%	67%	1.52 (+5bp)	1.47 (0bp)	1.43 (-4bp)	1.48 (+1bp)	--
		5y	Receiver	1.54	72%	63%	76%	78%	1.58 (+4bp)	1.54 (0bp)	1.51 (-3bp)	1.55 (+1bp)	--
	India	2y	Payer	6.20	-65%	-57%	-54%	-44%	6.60 (+40bp)	6.20 (+0bp)	5.75 (-45bp)	--	6.13 (-7bp)
		5y	Neutral	6.43	-62%	-52%	-45%	-39%	6.86 (+43bp)	6.45 (+2bp)	6.20 (-23bp)	--	--
	Singapore	2y	Payer	1.54	-20%	-19%	-13%	0%	1.73 (+19bp)	1.53 (-1bp)	1.37 (-17bp)	--	0.89 (-66bp)
		5y	Payer	1.94	-44%	-40%	-25%	-18%	2.09 (+14bp)	1.91 (-3bp)	1.78 (-17bp)	--	1.77 (-18bp)
		10y	Payer	2.22	-41%	-40%	-28%	-19%	2.38 (+16bp)	2.20 (-2bp)	2.06 (-16bp)	--	2.05 (-17bp)
	Taiwan	2y	Payer	2.04	-63%	-57%	-53%	-46%	2.16 (+12bp)	2.05 (+0bp)	1.94 (-10bp)	--	1.97 (-7bp)
		5y	Payer	2.28	-67%	-60%	-56%	-50%	2.41 (+14bp)	2.28 (+1bp)	2.14 (-13bp)	--	2.18 (-9bp)
		10y	Payer	2.49	-54%	-47%	-43%	-35%	2.64 (+15bp)	2.50 (+1bp)	2.38 (-11bp)	--	2.45 (-4bp)
	Thailand	2y	Payer	1.38	-69%	-66%	-62%	-43%	1.54 (+16bp)	1.39 (+1bp)	1.23 (-15bp)	--	1.26 (-12bp)
		5y	Payer	1.79	-75%	-70%	-67%	-62%	2.04 (+26bp)	1.79 (+1bp)	1.59 (-20bp)	--	1.69 (-10bp)
		10y	Payer	2.19	-76%	-71%	-67%	-60%	2.39 (+20bp)	2.20 (+0bp)	2.02 (-18bp)	--	2.09 (-10bp)
	Malaysia	2y	Payer	3.45	-78%	-79%	-75%	-66%	3.50 (+5bp)	3.44 (-1bp)	3.36 (-8bp)	--	3.40 (-4bp)
		5y	Payer	3.53	-84%	-80%	-80%	-73%	3.62 (+9bp)	3.53 (0bp)	3.46 (-7bp)	--	3.49 (-4bp)
		10y	Payer	3.73	-80%	-78%	-76%	-65%	3.79 (+6bp)	3.73 (-1bp)	3.65 (-8bp)	--	3.70 (-4bp)

Source: BofA Global Research

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CTA model positioning in EM FX

Exhibit 19: EMFX CTA model summary, by currency

CTA model position, trend strength and stop loss levels, as well as 5-day bearish, neutral, and bullish projection of trend strength

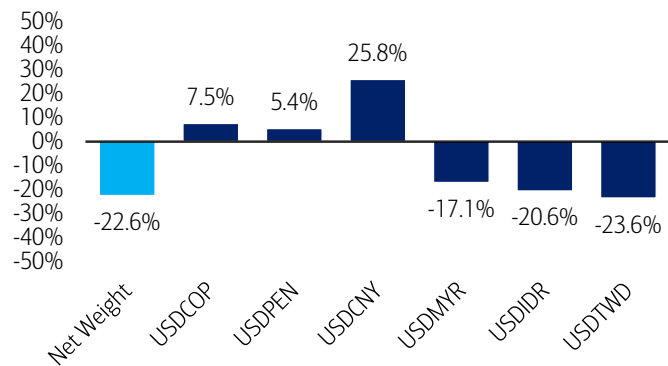
Region	Currency	Position	Spot	Trend Strength	5-day trend projection			5-day spot projection			Unwind triggers		3m IV/RV Z-Score	Value
					Bearish	Neutral	Bullish	Bearish	Neutral	Bullish	Long	Short		
LatAm	USDBRL	Neutral	5.10	2%	-52%	-19%	23%	5.03		5.28	--	--	-0.67	-9%
	USDMXN	Short	17.25	-24%	-70%	-46%	33%	17.18	17.37	17.71	--	19.74	-0.66	3%
	USDCOP	Short	3493	-64%	-90%	-73%	-44%	3388	3492	3601	--	3752	-0.20	23%
	USDCLP	Neutral	902	21%	-12%	10%	65%	879	910	950	--	--	-0.79	-3%
	USDPEN	Short	3.39	-28%	-79%	-23%	18%	3.31	3.40	3.47	--	4.05	-1.05	12%
EEMEA	USDZAR	Short	16.27	-12%	-59%	-14%	67%	16.06	16.51	17.13	--	35.83	-1.08	-11%
	USDPLN	Long	3.67	34%	5%	60%	86%	3.62	3.71	3.81	3.41	--	-0.76	-
	USDCZK	Long	20.87	17%	-18%	58%	85%	20.64	21.06	21.48	19.48	--	-0.82	-
	USDHUF	Short	305	-29%	-59%	-38%	20%	299	309	319	--	355	-1.08	-
Asia	USDCNY	Short	6.77	-33%	-62%	-34%	21%	6.74	6.78	6.82	--	6.88	-0.91	-5%
	USDMYR	Long	4.07	62%	-3%	62%	71%	4.00	4.07	4.15	3.98	--	-0.91	4%
	USDINR	Long	95.76	27%	6%	24%	57%	94.21	95.65	97.21	92.10	--	-0.36	-14%
	USDTHB	Long	32.95	51%	-10%	56%	80%	32.25	32.99	33.63	31.59	--	-1.30	-3%
	USDKRW	Long	1531	49%	7%	48%	72%	1477	1531	1587	1460	--	-0.34	-24%
	USDIDR	Long	17993	67%	11%	54%	76%	17663	17994	18306	17690	--	-1.01	-18%
	USDPHP	Long	61.36	29%	-26%	26%	51%	60.34	61.35	62.58	58.92	--	-0.88	-5%
	USDTWD	Long	31.62	44%	-10%	35%	73%	31.25	31.62	31.99	31.04	--	-1.27	1%
EMFX Total				12%	-	-	-	-	-	-	-	-	-	0%

Source: BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 20: EMFX CTA model summary, by currency

CTA model position, trend strength and stop loss levels, as well as 5-day bearish, neutral, and bullish projection of trend strength



Source: BofA Global Research

BofA GLOBAL RESEARCH

Exhibit 21: EMFX CTA model summary, by currency

CTA model position, trend strength and stop loss levels, as well as 5-day bearish, neutral, and bullish projection of trend strength

Cross Sectional Portfolio	
Currency	Weight
Net Weight	-22.6%
USDCOP	7.5%
USDPEN	5.4%
USDCNY	25.8%
USDMYR	-17.1%
USDIDR	-20.6%
USDTWD	-23.6%
EM Credit Returns Difference (EWMA)	1.04
EM Credit Returns Difference (EWMA) Change	0.11
Median IV/RV Flip	0
Median IV/RV 1m3m	-0.17

Source: BofA Global Research

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GEMs Macro Tables

Exhibit 22: Global Emerging Markets macroeconomic forecasts

Selected macroeconomic forecasts across Emerging Markets

	Real GDP growth (% yoy)			CPI inflation (%)			Monetary policy rate (%)			Current account (% GDP)			Fiscal balance (% GDP)		
	2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F	2025	2026F	2027F
GEMs	4.7	4.1	4.6	3.5	4.3	3.6	-	-	-	2.3	2.0	1.8	-4.3	-4.3	-4.1
GEMs (ex. China)	4.5	3.9	4.6	5.7	6.4	5.5	-	-	-	1.1	1.3	1.3	-4.5	-4.5	-4.2
GEM-10	4.9	4.3	4.8	2.8	3.8	3.3	-	-	-	1.9	1.6	1.5	-4.4	-4.4	-4.2
Asia	5.4	4.8	5.0	0.8	2.3	2.0	-	-	-	4.0	3.4	3.3	-3.9	-4.0	-3.8
China	5.0	4.5	4.5	0.0	1.0	0.8	1.40	1.40	1.40	3.7	3.0	2.5	-4.0	-4.0	-4.0
Hong Kong	3.5	2.3	2.5	1.4	2.1	2.0	4.00	3.50	3.50	12.6	13.0	12.6	-2.8	0.1	0.7
India	7.5	6.2	7.5	2.2	4.7	4.6	5.25	5.75	6.00	-0.4	-2.3	-0.8	-4.6	-5.0	-4.3
Indonesia	5.1	5.2	5.4	1.9	2.9	2.8	4.75	5.25	4.75	-0.1	-0.8	-0.9	-2.8	-2.9	-2.9
Korea	1.0	3.1	2.0	2.1	2.7	2.2	2.50	3.00	3.00	6.6	15.0	12.2	-2.3	-1.0	-2.0
Malaysia	5.2	4.2	4.5	1.4	1.8	2.2	2.75	2.75	2.75	1.6	2.3	2.4	-3.7	-3.5	-3.2
Philippines	4.4	2.0	3.0	1.7	7.3	5.3	4.50	5.00	5.00	-4.0	-4.1	-4.1	-6.0	-6.1	-6.2
Singapore	5.0	2.5	2.5	0.9	2.1	1.9	-	-	-	16.7	16.4	16.1	0.8	0.0	-0.3
Taiwan	8.7	7.2	4.0	1.7	2.0	1.7	2.00	2.25	2.38	19.6	21.1	22.1	-1.6	-2.4	-2.4
Thailand	2.4	1.9	2.1	-0.1	3.0	0.3	1.25	1.00	0.75	4.2	-0.7	4.2	-4.5	-5.4	-4.9
EEMEA	3.5	2.6	4.1	15.1	12.5	10.7	-	-	-	-1.5	-1.5	-1.6	-5.4	-5.0	-4.6
Czech R.	2.6	2.0	2.4	2.5	2.4	2.8	3.50	3.50	3.50	0.7	0.8	0.5	-2.1	-2.8	-3.0
Egypt	4.4	4.4	4.5	20.4	13.2	10.0	24.00	19.00	15.00	-4.4	-4.9	-5.2	-8.5	-7.5	-7.0
Hungary	0.4	1.2	2.5	4.4	2.5	3.0	6.50	5.50	4.50	1.7	1.3	0.3	-4.7	-6.5	-5.0
Israel	2.9	3.6	4.5	3.0	2.2	2.1	4.25	3.75	3.50	1.5	1.4	2.0	-6.5	-5.5	-5.1
Nigeria	3.9	4.2	4.0	20.0	14.0	14.0	27.00	21.00	16.00	5.3	4.1		-4.0	-4.5	-2.9
Poland	3.7	3.0	2.7	3.6	3.2	2.7	4.00	3.75	3.75	-0.9	-2.4	-2.2	-7.3	-7.1	-6.9
Romania	0.6	0.4	2.7	7.3	8.3	3.8	6.50	6.50	5.50	-7.9	-7.1	-6.3	-7.9	-6.5	-6.1
Saudi Arabia	4.5	0.6	5.8	2.1	2.4	2.0	4.25	3.50	3.50	-2.6	-0.2	-0.8	-5.8	-3.6	-3.1
South Africa	1.1	1.3	1.5	3.2	4.3	4.0	6.75	7.25	6.25	-0.5	-0.1	-0.9	-4.4	-4.4	-4.2
Türkiye	3.7	2.8	4.9	34.9	31.2	26.6	38.00	37.00	30.00	-1.9	-3.4	-2.5	-3.0	-3.6	-4.0
Ukraine	2.5	7.0	6.0	13.4	5.0	5.0	14.50	11.00	9.00	-7.1	-7.1	-5.5	-10.8	-6.2	
LatAm	2.4	2.1	2.5	3.7	5.0	3.9	-	-	-	-1.3	-0.9	-1.0	-5.3	-5.4	-5.1
Argentina	4.4	2.5	4.0	31.5	31.9	15.5	-	-	-	-1.3	-0.3	-1.1	0.1	0.0	0.0
Brazil	2.3	2.3	2.0	4.3	5.5	4.0	15.00	14.25	13.25	-2.9	-2.2	-1.8	-8.3	-8.7	-8.2
Chile	2.5	1.6	2.9	3.4	4.2	3.2	4.50	4.50	5.00	-1.9	1.2	-0.3	-3.0	-1.9	-1.9
Colombia	2.6	2.5	2.9	5.1	6.5	4.6	9.25	12.25	11.25	-2.4	-2.6	-2.7	-6.4	-7.2	-5.9
Costa Rica	4.6	3.7	3.9	-1.2	2.5	3.5	3.25	3.25	3.25	-0.8	-1.5	-1.5	-3.4	-3.6	-3.5
Dom Rep	2.1	2.7	3.9	5.0	6.0	4.8	5.25	5.25	4.50	-1.2	-2.5	-2.0	-3.3	-3.3	-3.0
Ecuador	3.7	3.2	2.7	1.9	2.4	2.3	-	-	-	6.0	4.0	2.5	-3.5	-2.5	-1.0
El Salvador	3.9	3.1	3.2	0.9	2.4	1.8	-	-	-	-3.5	-4.5	-3.4	-2.9	-2.1	-1.8
Guatemala	4.1	3.6	3.6	1.7	3.3	3.7	3.75	3.50	3.50	4.8	3.5	3.0	-1.9	-2.7	-3.0
Mexico	0.8	0.8	1.5	3.7	4.5	4.0	7.00	6.50	6.50	-0.4	-0.5	-0.3	-4.9	-5.0	-5.0
Panama	4.4	3.8	4.9	0.3	2.8	3.1	-	-	-	-0.2	-1.5	-1.0	-3.7	-3.5	-3.0
Peru	3.4	3.5	4.4	1.5	4.4	2.6	4.25	4.25	4.25	3.1	3.5	3.7	-2.2	-1.7	-1.4
Uruguay	1.8	1.5	2.0	3.7	3.9	4.5	7.50	6.00	7.00	-0.4	-0.7	-0.7	-3.4	-3.0	-2.5
Venezuela	4.0	8.0	11.0	443	243	125	-	-	-	-5.6	-1.6	3.2	-	-	-

Source: BofA Global Research

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Exhibit 23: Global FX forecasts

End-of period

	Spot	2Q 2026	3Q 2026	4Q 2026	1Q 2027	2Q 2027	3Q 2027	4Q 2027
		Fcst	Fcst	Fcst	Fcst	Fcst	Fcst	Fcst
Asia								
USD/CNY	6.78	6.90	6.80	6.70	6.70	6.70	6.60	6.60
USD/HKD	7.84	7.80	7.78	7.75	7.75	7.75	7.75	7.75
USD/IDR	17,993	17,800	17,900	18,000	18,100	18,200	18,200	18,200
USD/INR	95.9	96.0	97.0	98.0	98.5	99.0	99.0	99.0
USD/KRW	1,532	1,490	1,440	1,395	1,380	1,365	1,350	1,335
USD/MYR	4.06	3.95	3.95	3.95	3.95	3.95	3.90	3.90
USD/PHP	61.4	63.0	64.0	64.0	65.0	66.0	66.0	66.0
USD/SGD	1.29	1.28	1.26	1.25	1.25	1.24	1.24	1.23
USD/THB	33.0	33.0	32.7	32.0	31.5	31.5	31.5	31.0
USD/TWD	31.6	32.10	31.0	30.8	30.6	30.4	30.2	30.0
EEMEA								
EUR/CZK	24.2	24.3	24.1	23.8	23.5	23.4	23.3	23.3
EUR/HUF	356	360	355	350	345	345	345	345
EUR/PLN	4.25	4.23	4.21	4.17	4.15	4.15	4.15	4.15
EUR/RON	5.24	5.20	5.23	5.25	5.25	5.25	5.27	5.30
USD/AED	3.67	3.67	3.67	3.67	3.67	3.67	3.67	3.67
USD/EGP	52.0	53.0	52.0	51.0	50.0	50.0	50.0	50.0
USD/ILS	2.96	2.90	2.85	2.80	2.80	2.75	2.70	2.70
USD/KWD	0.31	0.30	0.30	0.30	0.30	0.30	0.30	0.30
USD/KZT	488	480	490	480	470	480	490	480
USD/NGN	1,362	1,370	1,375	1,375	1,375	1,375	1,400	1,400
USD/QAR	3.65	3.64	3.64	3.64	3.64	3.64	3.64	3.64
USD/SAR	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
USD/TRY	46.2	46.9	49.3	51.7	53.6	55.6	57.6	59.6
USD/ZAR	16.53	16.60	16.50	16.00	15.40	15.70	16.00	16.00
USD/UAH	44.9	45.0	46.0	47.0	47.0	47.0	47.0	47.0
LatAm								
USD/ARS	1,433	1,400	1,500	1,600	1,700	1,800	1,900	1,900
USD/BRL	5.16	5.00	5.00	4.95	4.90	4.85	4.80	4.75
USD/CLP	914	890	880	870	865	860	855	850
USD/COP	3,552	3,800	3,850	3,950	4,050	4,150	4,250	4,350
USD/MXN	17.41	17.50	17.50	17.50	17.75	18.00	18.25	18.50
USD/PEN	3.41	3.35	3.30	3.20	3.17	3.16	3.15	3.15
USD/UYU	40.6	40.6	40.6	40.7	41.4	41.7	41.7	41.8
USD/VES	577	564	708	887	1,082	1,319	1,609	1,961
USD/DOP	58.5	62.0	64.0	65.0	65.5	66.0	66.5	67.0
USD/CRC	456	475	485	490	493	495	498	500
G10								
EUR/USD	1.15	1.17	1.17	1.20	1.22	1.23	1.24	1.25
USD/JPY	161	159	154	152	150	148	146	145
EUR/JPY	185	186	180	182	183	182	181	181
USD/CAD	1.40	1.38	1.37	1.36	1.35	1.35	1.35	1.35
AUD/USD	0.70	0.72	0.74	0.74	0.74	0.74	0.73	0.73
NZD/USD	0.58	0.60	0.59	0.60	0.60	0.60	0.60	0.61
EUR/GBP	0.86	0.87	0.84	0.84	0.84	0.84	0.83	0.83
GBP/USD	1.34	1.35	1.39	1.43	1.45	1.46	1.49	1.51
EUR/CHF	0.92	0.91	0.92	0.93	0.94	0.94	0.95	0.95
USD/CHF	0.80	0.78	0.79	0.78	0.77	0.76	0.77	0.76
EUR/SEK	11.0	10.8	10.6	10.5	10.4	10.3	10.3	10.3
USD/SEK	9.54	9.25	9.06	8.75	8.52	8.37	8.31	8.24
EUR/NOK	11.0	10.8	11.3	11.2	11.0	10.9	10.8	10.7
USD/NOK	9.51	9.25	9.66	9.33	9.02	8.86	8.71	8.56

Source: BofA Global Research, Bloomberg

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Exhibit 24: Global rates forecasts

End of period

		Spot	2Q 2026	3Q 2026	4Q 2026	1Q 2027	2Q 2027	3Q 2027	4Q 2027
G10									
US	Policy	3.625	3.625	3.625	3.625	3.625	3.625	3.125	3.125
	2y	4.14	4.00	3.95	3.90	3.80	3.70	3.60	3.50
	10y	4.53	4.35	4.30	4.25	4.25	4.25	4.25	4.25
Germany	Policy	2.40	2.40	2.65	2.65	2.65	2.40	2.15	1.90
	2y	2.70	2.80	2.70	2.45	2.30	2.15		1.90
	10y	3.05	3.05	3.00	2.95	2.85	2.75		2.70
Asia									
China	1y lending	1.50	1.40	1.40	1.40	1.40	1.40	1.40	1.40
	2y	1.29	1.25	1.20	1.20	1.20	1.20	1.20	1.20
	10y	1.75	1.80	1.75	1.75	1.75	1.75	1.75	1.75
India	Repo	5.25	5.25	5.50	5.75	6.00	6.00	6.00	6.00
	2y	6.26	5.50	5.50	5.50	5.50	5.50	5.50	5.50
	10y	6.92	6.50	6.50	6.50	6.50	6.50	6.50	6.50
Indonesia	Policy	5.50	5.00	5.00	5.00	5.00	5.00	4.75	4.75
	2y	7.36	4.40	4.40	4.40	4.40	4.40	4.40	4.40
	10y	7.45	6.40	6.40	6.40	6.40	6.40	6.40	6.40
Korea	Policy	2.50	2.50	2.75	3.00	3.00	3.00	3.00	3.00
	2y	3.74	2.70	2.80	2.90	3.00	3.00	3.00	3.00
	10y	4.32	3.25	3.30	3.40	3.40	3.40	3.40	3.40
Malaysia	Policy	2.75	2.75	2.75	2.75	2.75	2.75	2.75	2.75
	2y	3.45	2.90	2.90	2.90	2.90	2.90	2.90	2.90
	10y	3.73	3.40	3.40	3.40	3.40	3.40	3.40	3.40
Singapore	Policy	-	-	-	-	-	-	-	-
	2y	1.54	1.20	1.20	1.20	1.20	1.20	1.20	1.20
	10y	2.22	1.60	1.60	1.60	1.60	1.60	1.60	1.60
Thailand	Policy	1.00	1.00	1.00	1.00	1.00	1.00	1.00	0.75
	2y	1.38	1.00	1.00	1.00	1.00	1.00	1.00	1.00
	10y	2.19	1.50	1.50	1.50	1.50	1.50	1.50	1.50
EEMEA									
Czech R.	Policy	3.50	3.50	3.50	3.50	3.50	3.50	3.50	3.50
	2y	4.31	4.06	4.23	4.35	4.47	4.60	4.66	4.72
	10y	4.54	4.24	4.35	4.46	4.52	4.58	4.61	4.63
Hungary	Policy	6.25	6.00	5.75	5.50	5.25	5.00	4.50	4.50
	2y	5.47	6.10	6.03	5.90	5.80	5.75	5.71	5.70
	10y	5.07	6.42	6.44	6.47	6.43	6.41	6.40	6.40
Israel	Policy	3.75	4.00	4.00	3.75	3.50	3.50	3.50	3.50
	2y	4.14	3.68	3.68	3.68	3.68	3.68	3.68	3.68
	10y	4.40	3.87	3.88	3.91	3.90	3.90	3.89	3.89
Poland	Policy	3.75	3.75	3.75	3.75	3.75	3.75	3.75	3.75
	2y	4.27	4.00	4.10	4.10	4.20	4.20	4.20	4.20
	10y	4.64	4.34	4.42	4.47	4.53	4.51	4.50	4.49
South Africa	Policy	7.00	6.50	6.25	6.00	6.00	6.00	6.00	6.00
	2y	7.51	6.30	6.20	6.00	5.80	5.80	5.80	5.80
	10y	8.15	7.63	7.57	7.50	7.40	7.40	7.40	7.40
Türkiye	Policy	37.00	37.00	37.00	37.00	35.50	33.00	31.00	30.00
	2y	37.41	32.80	32.05	31.30	30.55	29.80	29.05	28.30
	10y	30.36	27.20	26.50	26.00	25.00	24.65	24.30	23.95
LatAm									
Brazil	Policy	14.50	14.25	14.25	14.25	14.25	14.25	13.75	13.25
	2y	14.78	11.75	11.25	10.75	10.60	10.50	10.50	10.50
	5y	14.75	12.11	11.66	11.22	11.13	11.06	11.06	11.06
Mexico	Policy	6.50	6.50	6.50	6.50	6.50	6.50	6.50	6.50
	2y	7.21	6.50	6.50	6.25	6.25	6.25	6.25	6.25
	10y	8.26	7.55	7.25	7.25	7.25	7.25	7.25	7.25
Chile	Policy	4.50	4.50	4.50	4.50	4.50	4.75	5.00	5.00
	2y	4.75	4.50	4.50	4.50	4.50	4.50	4.50	4.50
	10y	5.34	5.25	5.25	5.25	5.25	5.25	5.25	5.25
Colombia	Policy	11.25	11.25	11.25	11.25	11.00	10.75	10.50	10.25
	2y	11.78	8.10	7.75	7.55	7.40	7.35	7.25	7.25
	10y	10.80	9.35	9.25	9.20	9.10	9.10	9.00	9.00
Peru	Policy	4.25	4.25	4.25	4.25	4.25	4.25	4.25	4.25

Source: BofA Global Research, Bloomberg

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EM Alpha Trade Recommendations

Exhibit 25: EM Alpha Trade Recommendations

Open trades

FX	Entry date	Entry	Current	Target	Stop	Notional	Rationale/ Time horizon	Risks
Short USDTRY in 2m forward	26-May-26	48.8	46.16	Hold the forward until maturity	-	-	Rising domestic political uncertainty has led to a repricing of risk, creating a more attractive entry point, in our view	The risks are much higher oil prices, stronger broader USD, persistent local dollarization, intensifying geopolitical backdrop and resident capital outflows abroad.
Receive INR NDOIS 1y spot	22-May-26	6.31	6.02	6.00	6.60	10	A possibility of a delayed hiking cycle as RBI awaits additional data for validation and doesn't react to market pressures on FX. To fade extreme market	Risk to the trade comes from RBI hiking more aggressively in front-loaded manner to stabilize INR against further depreciation.
Buy USDIDR 17.7k/18k 3m call spread	14-May-26	45 bps	17993.00	171 bps	0 bps	10	Flows are likely to remain negative in the near-term with upcoming MSCI rebalancing and ongoing DNDI maturities. Any possible tightening by Bank Indonesia would have a positive signaling effect on IDR in the near-term.	Risks to the trade arise from aggressive tightening or intervention from Bank Indonesia or implementation of capital flow measures
Enter 3M dual digital (Aug 7) USD/INR > 97 and USD/KRW < 1430 for 9.5% USD	7-May-26	>97, <1,430	95.8; 1,532	-	-	10	AI led capex investment boom are increasingly evident in NE Asia, supporting Korea and Taiwan growth. This is shaping interest rate expectations and relative performance in Asia FX, specifically INR/KRW.	Equity flows more favorable to INR and against KRW.
Long PEN vs. CLP & MXN basket	5-May-26	100.0	103.0	104.0	98.0	10	FX now screens cheaper than rates. PEN has lagged bonds, creating better value. We expect a market-friendly election outcome.	Market unfriendly election.
Short THB/KRW	4-May-26	45.26	46.48	43.50	46.50	10	Sharp divergence in economic fundamentals and season factors would push THBKRW to break below the 200dma support line.	Positioning squeeze on USD weakness, THB's correlation to gold price increase. On KRW, acceleration of domestic retail outflows or renewed KOSPI selling pressure from foreigners.
Long SGD NEER	30-Apr-26	1.37	--	1.80	1.00	10	Expectations for MAS policy bias for tightening that would keep SNEER from correcting further within the band	Further USD strength or MAS shifting part of the policy burden to rates by tightening liquidity
Sell EUR/BRL	23-Apr-26	5.80	5.96	5.50	6.10	10	Iran conflict means higher commodities. Higher inflation means higher real rates. Election means hopes of better policies.	Dovish monetary surprise or fiscal stimulus that worsens the election outlook.
Long USD/ZAR	27-Mar-26	17.15	16.53	18.00	16.00	10	Global outlook for EM asset to deteriorate from here. The ZAR is too strong if global growth slides. The ZAR is the best short in EEMEA, better than the HUF, as the ToT shock for SA is likely to be stronger than for Hungary.	The risks are a quick resolution of the war and lower-than-expected energy prices, as well as higher-than-expected gold prices.
EURCZK: buy ATM straddle	12-Mar-26	EURCZK: 24.412, cost of straddle: 1.3666%	EURCZK: 24.197	-	-	10	EURCZK vol is the lowest relative to the 2y average of all major EM currency pairs. This makes the trade asymmetric. Prefer 3m (or 6m) as energy pass-through to vol takes time.	The risk is a quick resolution of the Middle East conflict and consequent return to a low-vol environment.
Long CLP/COP	5-Mar-26	4.13	3.89	4.60	4.00	10	We see three key supports for the trade: valuation, positioning, and politics.	Market-friendly outcome in Colombia's election, a sharp rise in oil prices, or a dovish surprise from Chile's central bank.
3M USD/CNH vanilla put with American Knock In at 6.91	2-Mar-26	6.89	6.78	6.70	-	10	CNY outlook is complex as PBoC tempers appreciation and Middle East conflict lift near-term USD/CNH upside risks.	Knock-in not triggered resulting in unhedged CNH appreciation exposure to USD/CNH 6.70 and below



Exhibit 25: EM Alpha Trade Recommendations

Open trades

Long INR vs SGD	3-Feb-26	71.32	74.34	70.00	72.50	10	Consensus bearish INR positions and repeated disappointments earlier on trade deal lowered the bar for a positive surprise leading to bearish sentiment and potentially under hedging by exporters even as CA flows improve this quarter.	Dovish RBI policy bias or continued equity outflows.
Buy 2M USD/KRW 1370 digital vs. Sell 2M USD/THB 31.90 Digital	28-Jan-26	1,370; 31.9	1,532; 33.0	-	-	10	KRW supported by AI-led export cycle, policy bias, and NPS/RIA-related inflows should mean KRW outperformance and higher vol.	Risk to the trade is a capital loss of 100% of notional at an expiry of above USD/THB 31.90 from selling a 2M USD /THB 31.90 digital
USDINR put spread	20-Jan-26	91.4	95.8	1.7%	0.0%	10	Add USDINR put spread on improvement in CA flows this quarter while RBI smoothing would likely cap topside risk.	Risk to the trade arises from persistent equity outflows over the next few months.
Long USDIDR topside	20-Jan-26	16,970	17,993	17,400	-	10	Add USDIDR topside option as market builds further risk-premium for expansionary fiscal and monetary policies.	Risk to the trade arise from stronger intervention around 17,000/USD.

LDM	Entry date	Entry	Current	Target	Stop	Notional	Rationale/ Time horizon	Risks
Buy 4Y KZT bond FX unhedged (and sell 50% of the notional of EURUSD)	3-Jun-26	Bond yield: 15.9% and USDKZT:489.3	Bond yield: 15.8% and USDKZT:487.54	9% total return	-5% stop		The entry point for the trade is attractive as USDKZT RSI is above 75. 800bps point of cuts should be positive for bonds	The risks are negative seasonality in USDKZT, a stronger broader USD, and significant upside surprises in inflation
Long FX-hedged BONCER 2028	30-Apr-26	84.5	91.51	92.0	80.0	10	Real yields to decline as policy shifts from rapid disinflation toward supporting growth and lowering non-performing loans.	Higher inflation and global risk-off.
Short 1y1y CLP/UF inflation breakeven	22-Apr-26	3.60	3.21	3.10	4.00	10	Lower oil, stronger CLP, and fiscal tightening should drive breakevens lower.	Renewed oil spike, or upside surprises in domestic inflation.
Receive 10y IBR	15-Apr-26	10.80	10.80	10.00	4.00	10	We expect a market-friendly election outcome, with a large risk premium already embedded.	Adverse election outcome and higher global interest rates.
INR NDOIS 2s5s steepener (using 3m forwards)	12-Mar-26	40	24	50	20	10	More leeway in belly of the curve to price risk-premium for future hikes, fiscal widening risks and weak demand for duration.	Risks from sustained larger oil price shock, leading to more immediate pass-through to inflation and earlier/faster hikes.
Long MUDI 2029 breakeven	25-Feb-26	3.85	3.95	4.35	3.50	10	Short-end breakevens look too low relative to sticky core inflation, potential oil price upside linked to Iran tensions, tariff and tax pass-through, and event-driven pressures around the World Cup.	A decline in global oil prices, sustained MXN strength, and lower-than-expected realized inflation.
2y5y10y fly in Colombia	4-Feb-26	28	46	75	10	10	We think that 5y rates are too high relative to 2y and 10y rates.	Dovish BanRep, and a decline in policy and fiscal uncertainty.
Short 5y breakeven in Brazil	29-Jan-26	5.60	6.28	5.00	6.00	10	5y breakevens remain elevated relative to short-dated breakevens and consensus inflation expectations.	Higher-than-expected inflation, fiscal loosening ahead of the election, and a global risk-off episode that triggers BRL depreciation.
THB NDOIS (THOR) 3m forward 1s10s flattener	15-Jan-26	59.5	103.8	40.0	80.0	10	Enter THB NDOIS flattener on limited monetary and fiscal policy space, and elections increasing risk of budget delay.	more accommodative monetary policy if BoT quickly delivers the next cut and opens up to sub-1% terminal policy rate.
IndoGB 5s20s steepener	13-Jan-26	95	-1	130	80	10	Expect further retracement of 4Q'25 curve flattening due to high issuance needs and reduced cash buffer against weak demand.	Hawkish turn in BI policy leading to higher front-end yields and tighter liquidity.
SGD SORA 1s5s flattener	7-Jan-26	59.5	64.1	30.0	70.0	10	Add SORA curve flattener on expectations of financial conditions tightening led by hawkish MAS policy tilt in Jan meeting.	Continued dovish bias from MAS or large capital inflows into Singapore keeping front-end rates around current levels.
Receive Jan-29 DI	23-Nov-25	12.86	14.95	11.65	13.50	10	Strong conviction that the easing cycle in Brazil will be faster and deeper than the market is currently pricing.	An increase in inflation expectations, a deterioration in the fiscal outlook, or a sharp rise in uncertainty ahead of the 2026 presidential election.

Exhibit 25: EM Alpha Trade Recommendations

Open trades

Long 5y CGB	21-Nov-25	1.58	1.45	1.30	1.75	10	5y CGB should benefit from policy rate cuts and PBoC bond buying, while being less exposed to equity rallies and duration supply risks.	Unexpected liquidity tightening and outflows from fixed-income funds.
Long IGB 5y (FX hedged)	21-Nov-25	6.20	6.43	5.80	6.50	10	We like IGB 5y on scope for further easing, OMOs and potential global index inclusion flows.	The risk to this trade inflation upswing or FX pressure reducing easing expectations.
Pay CNH 3x12 points	13-Aug-25	-1,118pts	-1,319pts	-820pts	-1,250pts	10	FX liquidity conditions normalizing amid a policy bias to mop up liquidity,	China growth relapsing, resulting in China easing rates or, alternatively, if the US were to unexpectedly raise policy rates.

EXD	Entry date	Entry	Current	Target	Stop	Notional	Rationale/ Time horizon	Risks
Long ROMANI 37 vs SOAF 36	12-May-26	15	32	-5	30	--	ROMANI spreads vs EM EXD are cheap after controlling for DXY, oil and deficit expectations	Risks to the trade arise from a prolonged political crisis in Romania, a precious metals rally or a pricing out of South African political risks.
Long DOMREP '60s vs. basket GUATEM '55s and COSTAR '54s	11-May-26	53	56	15	80	10x4.1x4.1	DomRep offers the best value among regional energy importers. Tourism could be more resilient than expected, likely easing investor concerns about the impact of higher energy prices. Recently announced budget cuts are also supportive.	Higher energy prices, lower growth, wider deficit, weak reform momentum.
Long ADGB 50 vs QATAR 50	29-Apr-26	23	19	4	35	--	QATAR 50 spreads are at pre-war levels and have triggered our preferred 1m mean-reversion indicator. Index exclusion flows from UAE-linked credits will peak before Friday.	Risks lie in military escalations further damaging Gulf infrastructure.
Long SRILAN38s	9-Apr-26	95.0	96	100.0	89.0	--	We believe MLB valuations may move back to pre-war levels over the next 2-3 months, in line with broader normalization.	The main risk to the trade is the potential re-escalation of geopolitical conflict, as well as the spike in energy costs.
Long Argentina 35s	8-Apr-26	74.1	78.0	82.1	69.5	--	We re-enter a long ARGENT '35s trade idea. De-escalation in global tensions could renew Argentina's virtuous cycle thesis.	Geopolitical tensions, currency appreciation, lower growth and decline in presidential approval, compliance with IMF program.
Long KENINT 48 vs PKSTAN 51	18-Mar-26	-37	-25	-80	-15	--	Since the start of the Iran War, PKSTAN has broadly sold-off in line with its EM HY beta, despite its higher exposure to MENA.	Speedier-than-expected resolution to the conflict in the Middle East.
Long VENZ '22 vs VENZ '28	12-Feb-26	4.4	6.1	8.0	1.5	--	Potential for PDI to receive better treatment than priced in.	PDI could receive a less favorable treatment than currently priced in, political crisis that compresses bond prices.
Long VENZ '19 vs VENZ '25	12-Feb-26	-1.6	-1.1	-0.3	-2.5	--	Short-end bonds trade with a discount potentially due to statute of limitations risks. Risk of losing principal claim is remote in our view.	Tolling agreement is not extended and/or markets price in larger probability that bondholders could lose their principal claim.
Long ECUA '35s	9-Oct-25	74.4	92.3	83	69	--	Protests forced the prior two presidents to backtrack on subsidy cuts. But the current protests look less severe, and we think the government is in a much better position to succeed.	Protest escalation, November referendum, lower oil prices.
Long Brazil '54s vs. Colombia '54s	15-Sep-25	54	9	120	15	--	Relative valuations, investor perceptions over upcoming elections, and short-term fiscal risks are supportive of the trade.	In Brazil, US geopolitical tensions, fiscal slippage, 2026 elections. In Colombia, approval of tax reform, additional liability management, and 2026 elections.
Long BRAZIL '54s vs. basket COSTAR '54s and DOMREP '49s	19-Jul-24	36	62	0	90	--	We expect government to maintain fiscal targets and our fiscal/growth forecasts are more bullish vs. consensus.	Changes in the fiscal targets or fiscal framework and a shift in the government's strategy towards much more expansionary policies.

Source: BofA Global Research. Spot values as of May 7, 2026. Bid/offer spreads accounted for in initiation and closing levels. Does not reflect tax withholdings or any investment advisory fees. Past performance is no guarantee of future results. A complete performance record is available on request. Inception date – July 4, 2016. Initiation and closing prices are priced as of trade publication.

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Exhibit 26: Closed trades

List of closed trades over the past 12 months

Last 12 months - keep it updated, check column H date

Trade	Open Date	Open Price	Target	Stop	Notional	Closing Date	Close Price
Long 5y CGB	21-Nov-25	1.58%	1.30%	1.75%	10	8-Jun-26	1.41%
Receive INR NDOIS 1y spot	22-May-26	6.31%	6.00%	6.60%	10	5-Jun-26	6.00%
Long SGD NEER (ex-MYR)	30-Apr-26	1.37% above mid	1.80%	1.00%	10	29-May-26	1.66%
Long Brazil '54s vs. Colombia '54s	15-Sep-25	54	120	15		1-Jun-26	23
long OMAN vs EGYPT	20-Mar-26	-379bps	-401bps	-320bps		5-Jun-26	-320bps
Short 1y1y CLP/UF inflation breakeven	22-Apr-26	3.60	3.10	4.00	10	27-May-26	3.10
Long KENINT 48 vs PKSTAN 51	18-Mar-26	-37.00	-80.00	-15.00		27-May-26	-41.0
Long Soberano 2037	8-Apr-26	6.90	6.40	7.30	10	5-May-26	6.7
Long USD/MXN	10-Jul-25	18.62	20.00	18.00	10	30-Apr-26	17.52
Short USDNGN using OMO bills	12-Feb-26	OMO: 95.3; USDNGN: 1,354.7	4.5% total return	-2.5% total return	10	30-Apr-26	OMO: 99.5; USDNGN: 1,375
Receive 2y TIIE	17-Mar-26	7.37	6.80	8.05	10	29-Apr-26	7.27
Long BRL/MXN	19-Aug-25	3.45	3.80	3.20	10	23-Apr-26	3.50
Short USDTRY using 3m forward	20-Jan-26	46.2	43.9	47.6	10	22-Apr-26	44.89
5y10y IBR steepener	5-Mar-26	-30	10	-50	10	15-Apr-26	-26
Long 2029 local bond in Hungary (no FX exposure) vs pay 2y swap in South Africa	2-Apr-26	26	76	-4	10	13-Apr-26	92
Long UKRAIN 35As	1-Apr-26	54.2	60.0	50.0	10	10-Apr-26	60.1
Pay PLN 2y vs receive CZK 2y	5-Mar-26	13	33	0	10	9-Apr-26	34
2s10s flattener in Czechia	3-Oct-25	0.44	0.14	0.63	10	9-Apr-26	0.306
Sell PERU '51s vs. URUGUA '55s	3-Apr-24	20	50	25	10	8-Apr-26	0.24
CL: Pay 2y CAM	3-Mar-26	4.42	5.00	4.20	10	20-Mar-26	5.05
long MEX 53 vs SOAF 54	17-Feb-26	-81	55 bps	85 bps	10	19-Mar-26	-114
Long SHJGOV 50 vs QATAR 50	4-Mar-26	171	141 bps	186 bps	10	23-Mar-26	158
Long KSA 46 vs QATAR 42	17-Feb-26	75 bps	55 bps	85 bps	10	19-Mar-26	74
Long BRL/COP	7-Oct-25	724	775	675	10	12-Mar-26	710
Long USDPHP NDF	6-Jan-25	59	61	58	10	12-Mar-26	60
Pay 1y Dec IMM in South Africa	5-Sep-25	7	7	6	10	11-Mar-26	7
Long USD/ZAR	23-Jan-26	16	17	16	10	8-Mar-26	17
Short SGD NEER for carry and hedge vs short USD	29-Jan-26	2	1	2	10	4-Mar-26	2
Long ARGENT '35s	2-Jul-25	67	78	62	10	3-Mar-26	74
Long POLAND \$53 vs ROMANI \$51	19-Feb-26	-54 bps	-74 bps	-44 bps	10	3-Mar-26	-68
Long TÜRKIYE 36 vs ELSALV 35/JORDAN 32	22-Jan-26	14	-16	30	10	3-Mar-26	8
Receive CZK and PLN 5y in equal shares	9-Feb-26	4	3	4	10	26-Feb-26	4
2033 ASW spread tightener in Poland	6-Nov-25	86	55	106	10	26-Feb-26	55
Receive 5y F-TIIE	30-Sep-25	7	7	8	10	25-Feb-26	7
Long MBONO 2029	30-Sep-25	8	7	9	10	25-Feb-26	8
Buy inflation-linked BONCER 12/15/2027	22-Jan-26	212	0	0	10	23-Feb-26	0
Sell JPY/KRW	29-Jan-26	9	9	10	10	20-Feb-26	9
Long SRILAN'38	23-Jan-26	96	103	90	10	18-Feb-26	101
Long REPHUN \$52 vs REPHUN \$34	15-Jan-26	63	50	70	10	2-Feb-26	50
Long UZBEK 29 vs SOAF 29	9-Jan-26	41	19	56	10	2-Feb-26	19
Long NTNB 2028	8-May-25	8	7	8	10	29-Jan-26	8
Chile: 3M CLP swap receiver	14-Jan-26	4	4	5	10	28-Jan-26	4
Long KENINT 33 vs SENEGL 33	3-Dec-25	34.8 points	49.8 points	22.8 points	10	28-Jan-26	-41
Buy USDKRW put spread 1425/1400 strikes	21-Nov-25	34.4 bps	34.4 bps	1400 lower strike	10	26-Jan-26	1,430
Long SRILAN'30		94	98		10	23-Jan-26	98
short USDKZT via 6m NDF	15-Dec-25	553	526	570	10	-	526
Argentina: Buy BONTE 2030, FX-unhedged	9-Dec-25	109	0	0	10	22-Jan-26	115
Pay PLN 1y1y & receive HUF 1y1y	26-Nov-25	-3	-2	-2	10	15-Jan-26	-2
Receive USDTWD 2x5 NDF	4-Aug-25	-398pips	-525pips	-335pips	10	--	--
Pay SORA 1y vs SOFR	11-Apr-25	-179	-130	-200	10	--	--
Long SHJGOV 51 vs DUGB 50	6-Jan-26	103	88	111	10	14-Jan-26	87
Long EGP 3m T-bill FX-unhedged	2-Dec-25	USDEGP: 47.52; T- bill price: 93.87	Total return 4.5%	Total return -2.5%	10	12-Jan-26	47..2

Exhibit 26: Closed trades

List of closed trades over the past 12 months

Last 12 months - keep it updated, check column H date

Buy 21-Apr-26 OMO bill in Nigeria FX-unhedged	22-Oct-25	yield 18.45%; USDNGN: 1470	--	--	10	9-Jan-26	1,425
6m USD/CNH 6.85 digital put (spot ref 7.1150)	21-Nov-25	10.5% of notional	--	--	10	8-Jan-26	40
Long € Romani 44 vs Short \$ Romani 44	22-Apr-25	166	130	190	10	7-Jan-26	163
Long ZAR/MXN	5-Nov-25	1	1	1	10	7-Jan-26	1
Philippines: long RPGB 5y	7-May-25	6	5	6	10	18-Dec-25	6
Short USD/THB	12-Nov-25	33	32	33	10	2-Dec-25	32
Receive 2y KRW NDIRS	26-Nov-25	0	0	0	10	10-Dec-25	3
Argentina: Buy Boncer 2027	5-Sep-25	0	10	-5	10	9-Dec-25	10
Long UKRAIN 35A	26-Sep-25	54 pts	60 pts	49pts	10	25-Nov-25	57.7 pts
Indonesia – Pay IDR points	25-Mar-25	60	85	40	10	23-Nov-25	1,060
Buy US\$HKD 12-month outright	26-Nov-24	8	8	8	10	23-Nov-25	8
Buy 6M USD/SGD 1.45 instant one-touch	22-Nov-24	0	1	0	10	23-Nov-25	1,060
Short CNH, long basket	17-Nov-23	98	94	102	10	23-Nov-25	98
Sell EUR/CLP	18-Aug-25	1,129	1,060	1,160	10	17-Nov-25	1,060
Long PKSTAN 31 vs EGYPT 31	8-Oct-25	54	120	15	10	13-Nov-25	15
Long SENEGL 33 Vs NGERIA 33	28-Jul-25	375	410	570	10	13-Nov-25	570
Long LECAP 11/10/2025	23-Apr-25	35	-	-	10	10-Nov-25	24
Long Angol 32 vs short Ngeria 32	5-Feb-25	155	95	250	10	4-Nov-25	208
Short US\$KZT 6m NDF	19-Aug-25	570	541	587	10	4-Nov-25	541
Short SGD NEER	11-Apr-25	0	0	0	10	3-Nov-25	0
Receiving 5y Korea NDIRS	6-Jun-25	2	2	3	10	28-Oct-25	3
Long 2y CGB vs pay 2y CNY NDIRS	14-Apr-25	-4	30	-22	10	23-Oct-25	9
Long USD/PEN	31-Jul-25	4	4	3	10	22-Oct-25	3
Receive 5y IBR	20-Nov-24	8	7	9	10	9-Oct-25	9
Receive 2y IBR	10-Apr-25	8	7	9	10	9-Oct-25	9
Buy 2030 bond in Hungary FX-hedged	17-Sep-25	6	6	7	10	7-Oct-25	6
Long ZAR, CZK and PLN against USD in the ratio of 3:2:1	19-Aug-25	16	16	17	10	7-Oct-25	2
ASW widener for 2035 bond in South Africa	3-Jun-25	160	195	110	10	29-Sep-25	113
Buy the 2035 local bond in Serbia	14-May-25	5	5	5	10	29-Sep-25	5
Pay 2y Camara	5-Jun-25	4	5	4	10	23-Sep-25	5
Pay 5y TIE vs. SOFR	27-Jan-25	475	550	400	10	18-Sep-25	397
Long Soberano 2033	14-Aug-25	6	5	6	10	16-Sep-25	6
Receive 10y F-TIE	10-Jul-25	8	8	9	10	11-Sep-25	8
Long MBONO 2036	10-Jul-25	9	9	10	10	11-Sep-25	9
Long CLP/COP	8-May-25	5	5	4	10	11-Sep-25	4
Buy SRILAN'30 vs SRILAN'38	27-Jun-25	172	225	140	10	10-Sep-25	225
Buy 2028 bond in Egypt FX-unhedged	1-Jul-25	bond yield: 22.7%; USDEGP at 49.6	5% total return	-3% total return	10	26-Aug-25	22
Long Soberano 2035	1-Jul-25	6	6	7	10	14-Aug-25	6
Receive 5y in Poland	24-Jul-25	4	4	4	10	14-Aug-25	4
Buy 5y bond in Hungary FX-unhedged	26-Jun-25	5y bond yield: 6.42; USDHUF at 341	4% total return	-2.5% total return	10	11-Aug-25	5y bond yield: 6.34; USDHUF at 339.7
Long € KSA37 vs Short \$ KSA35	22-Apr-25	106	70	120	10	7-Aug-25	103
Long € Egypt 31 vs Short \$ Egypt 31	22-Apr-25	162	130	190	10	7-Aug-25	160
Short Ghana 29 Vs Long Pakistan 31	12-Jun-25	60	0	100	10	7-Aug-25	38
Buy EUR REPHUN 40	18-Feb-25	230	180	260	10	7-Aug-25	217
Long IDR vs SGD	23-Jul-25	12,730	12,400	12,900	10	4-Aug-25	12,724
Short THB vs MYR	15-Jul-25	8	8	7	10	4-Aug-25	8
Long TRY vs EUR and USD via 3m forward	16-Jan-25	39	37	40	10	31-Jul-25	spot: 43.59
Receive 1y Dec IMM in Czechia	8-Apr-25	3	2	4	10	31-Jul-25	4
Long PANAMA '57s vs. DOMREP '60s	5-Mar-25	104	50	135	10	30-Jul-25	45
Sell USD/ARS via 3m NDF	23-Apr-25	1,202	1,000	1,400	10	21-Jul-25	1,275
Long INR vs PHP	13-May-25	2	148	155	10	17-Jul-25	2
Long USD/BRL	8-May-25	6	5	6	10	10-Jul-25	6
THB NDOIS (THOR) 2s10s flattener	15-May-25	46	30	60	10	7-Jul-25	30
Buy \$Romani 37	20-May-25	345	300	370	10	4-Jul-25	300
sell US\$KRW	5-Jun-25	1,360	1,300	1,390	10	24-Jun-25	1,390



Exhibit 26: Closed trades

List of closed trades over the past 12 months

Last 12 months - keep it updated, check column H date

Buy EUR/MXN	21-May-25	22	24	21	10	24-Jun-25	22
Brazil receiving Jan31 DI	6-Mar-25	15	14	16	10	23-Jun-25	14
receive 3x6 USDHKD	21-Jan-25	-101	-175	-	10	19-Jun-25	-318
long SRILAN'30	16-Jan-25	84	90	-	10	18-Jun-25	87
Sell USDNGN 3M NDF	7-May-24	1,384	1,285	1,700	10	18-Jun-25	14
Sell 30y breakeven in Mexico	29-May-25	508	450	540	10	17-Jun-25	498
Buy Soberano 2039 in Peru	10-Sep-24	7	6.28-	7	10	17-Jun-25	7
long ECUA '35s	15-Apr-25	59	-	-	10	17-Jun-25	70
long ARGENT '30s	27-Jan-25	75	-	-	10	17-Jun-25	78
Buy Sep 2029 bond in Türkiye FX-unhedged	25-Apr-25	Compound yield: 39.6	5% total return	-3% total return	10	10-Jun-25	38

Source: BofA Global Research. Bid/offer spreads accounted for in entry and closing levels. Does not reflect tax, withholdings or any investment advisory fees. Past performance is no guarantee of future results. A complete performance record is available on request. Inception date – July 4, 2016. For additional discussion on baseline views, valuation and risks to closed trades, please see the relevant reports. Trade recommendations are highlighted green when the closing value is greater than the entry value and red when the closing value is less than or equal to the entry value

BofA GLOBAL RESEARCH

Exhibit 27: Sovereign Strategy EXD ratings

Overweight and Underweight recommendations

	Overweight	Underweight
Asia	Indonesia (Sep-25), Sri Lanka (Apr-26)	Pakistan (Mar-26), Philippines (Apr-20)
EEMEA	Hungary (Feb-25), Israel (Nov-24), Sharjah (Apr-23), Ukraine (Apr-24), Uzbekistan (Jan-26)	Iraq (Nov-25), Tunisia (Oct-24), Senegal (Dec-25)
LatAm	Argentina (Jul-23), Brazil (Apr-26), DomRep (May-26), Ecuador (May-26)	

Source: BofA Global Research

BofA GLOBAL RESEARCH

Abbreviations

Commonly used abbreviations

AMLO: Andres Manuel Lopez Obrador (Mexico's president)	EM: Emerging Markets	NBP: National Bank of Poland
ASW: asset swap spread	EMTA: Emerging Markets Trader Association	NBR: National Bank of Romania
AUM: Assets under management	Eop: end of period	NBS: National Bank of Serbia
Avg: average	EPFR: Emerging Portfolio Fund Research	NBU: National Bank of Ukraine
Banxico: Banco de Mexico (Mexico's central bank)	ESG: Environmental, Social & Governance	NDF: non-deliverable forward
BCB: Brazilian Central Bank	ETF: Exchange Traded Fund	OCC: Official Creditor Committee
BCCH: Central Bank of Chile	EU: European Union	OIS: overnight interest swap
BCRA: Central Bank of Argentina	EXD: External debt	PBoC: Peoples bank of China
BI: Bank of Indonesia	EZ: Eurozone	Pemex: Petroleos Mexicanos (Mexico's Oil State Company)
BNM: Bank Negara Malaysia	FH: Foreign Holdings	RBA: Reserve bank of Australia
BoK: Bank of Korea	FOMC: Federal open market committee	RBI: Reserve bank of India
BoT: Bank of Thailand	FX: foreign exchange	RBNZ: Reserve bank of New Zealand
BSP: Bangko Sentral Ng Pilipinas	GCC: Gulf Cooperation Council	RRF: EU's Recovery and Resilience Facility
CBA: Central Bank of Armenia	HC: hard currency	RRP: EU's Recovery and Resilience Plan
CBAz: Central Bank of Azerbaijan	HG: High Grade	SARB: South Africa Reserve Bank
CBC: Central Bank of China (Taiwan)	HKMA: Hong Kong Monetary Authorities	SBP: State Bank of Pakistan
CBR: Central Bank of Russia	HY: High Yield	SBV: State Bank of Vietnam
CBSL: Central Bank of Sri Lanka	BC-Br: Brazil's Monthly GDP	Selic: Interest rates in Brazil
CBU: Central Bank of Uzbekistan	IG: Investment Grade	Sov: Sovereign
CDI: Brazil's interbank interest rates	IMM: International Monetary Market	SSA: South and Southern Africa
Cetes: certificates of the treasury (Mexico's gov't short-term debt)	PCA: Consumer inflation in Brazil	TIIE: Interbank Lending Rate
CIS: Commonwealth of Independent States	LC: Local currency	USMCA: US-Mexico-Canada Trade Agreement
CNB: Czech National Bank	LDM: Local debt markets	Vol: implied volatility
Corp: Corporate	MAS: Monetary Authority of Singapore	xcy: cross-currency
CPI: Consumer Price Index	MEAF: Middle East & Africa	Yoy: year on year, vs. same period of last year
DM: Developed Markets	MFF: EU's Multi-annual Financial Framework	CFETS: China Foreign Exchange Trade System
EC: European Commission	Mom: month on month, vs last month	CGB: China government bond
ECJ: European Court of Justice	NBG: National Bank of Georgia	MLF: Medium-term lending facility
EDP: EU's Excessive Deficit Procedure	NBH: National Bank of Hungary	NCD: Negotiable certificate of deposits
EEMEA: Eastern Europe, Middle East & Africa	NBK: National Bank of Kazakhstan	OMO: Open market operation
RRR: Required reserve ratio	PFB: Policy financial bonds	

Source: BofA Global Research

BofA GLOBAL RESEARCH



Options Risk Statement

Potential Risk at Expiry & Options Limited Duration Risk

Unlike owning or shorting a stock, employing any listed options strategy is by definition governed by a finite duration. The most severe risks associated with general options trading are total loss of capital invested and delivery/assignment risk... all of which can occur in a short period.

Investor suitability

The use of standardized options and other related derivatives instruments are considered unsuitable for many investors. Investors considering such strategies are encouraged to become familiar with the "Characteristics and Risks of Standardized Options" (an OCC authored white paper on options risks). U.S. investors should consult with a FINRA Registered Options Principal.

For detailed information regarding risks involved with investing in listed options:

<http://www.theocc.com/about/publications/character-risks.jsp>

Price objective basis & risk

Penumbra (PEN)

We have removed the investment opinion on the company's stock. Investors should no longer rely on our previous opinion or price objective.

Valuation & risk

Abu Dhabi (ADGB)

We have an Marketweight recommendation on Abu Dhabi EXD. The sovereign's balance sheet remains robust with a large stock of foreign assets.

Downside risks are a prolonged period of low oil prices, regional geopolitical threats, and Government-Related Entities (GREs) debt rollovers.

Upside risks are higher in oil prices, and further structural reform efforts.

Angola (ANGOL)

We have a Marketweight recommendation on Angola EXD because, even though we don't see any catalysts, higher oil prices should support valuation. Furthermore, Angola has a current account surplus and a small fiscal deficit. However, this is counterbalanced by generally less compelling valuations in this space, particularly compared to other global EM credits.

Downside risks are a sustained decrease in oil prices and oil production. Upside risks are a re-engagement in a IMF program and a sustained increase in oil prices/production.

Argentina (ARGENT)

We are Overweight Argentina's external bonds. Yields are elevated compared to Argentina's credit ratings and we see prospects of future credit rating upgrades. Inflation has declined substantially, the government's commitment to fiscal equilibrium is very strong, the willingness to pay external debt is high, and there is an ambitious agenda of microeconomic and deregulatory reforms underway. Bond yields are approaching the level where regaining market access becomes feasible

Downside risks are global risk aversion, low international reserves, decline of presidential approval, laws that dilute the fiscal equilibrium, governability in Congress, the president's popularity eroded by economic challenges, social protests.



Upside risks are support from the US Treasury, increases in international reserves, credit rating upgrades, fiscal discipline, payment of upcoming Eurobond maturities, alliances that improve governability, structural reforms.

Armenia (ARMEN)

We are MW Armenia. The macro background remains extremely robust with strong economic growth as well as prudent fiscal and monetary policy. The country continues its cooperation with the IMF and other IFI, which should continue to improve policy framework.

Downside risks are noisy domestic politics as well as lingering regional geopolitical tensions that may be a source of potential headline risk and continue to drag on sovereign rating upgrades. However, resolution of remaining issues may also be a source of an upside by unlocking rating upgrades and reduction of implied risk premium.

Azerbaijan (AZERBJ)

We are MW Azerbaijan. The country continues to maintain a generally prudent fiscal policy and has massive fiscal assets, which can offset any near term pressures from weaker energy prices. However, potential further weakness in energy prices may limit valuation upside as delays with peace negotiations with Armenia support near term geopolitical risk discount.

Downside risks: Rising geopolitical risks as well as weaker oil.

Upside risks: Quick normalisation of regional geopolitics, higher oil prices and improved economic growth on stronger regional integration.

Bahrain (BHRAIN)

We have a Marketweight recommendation on Bahrain External Debt (EXD). Valuations are tight, but robust Gulf Cooperation Council (GCC) aid continues to support the credit. The materialization of GCC support is critical for the country's longer-term credit profile given still high fiscal risks and refinancing needs.

Upside risks are higher oil prices, disbursement of additional GCC support, and fiscal reforms.

Downside risks are geopolitics, lower oil prices, limited GCC support, a lack of market access, continued high debt, fiscal slippage, devaluation and credit events.

Brazil (BRAZIL)

We are Overweight Brazil's external bonds. Brazil trades at a slight 0.2 notch premium to its BB+ average rating.

Upside risks for bonds: Brazil could outperform if moderate candidates emerge for the 2026 presidential race, fiscal deficit outperforms market expectations, growth is high, if there is moderation in economic policies, and if measures to increase revenue are approved or spending cuts are implemented.

Downside risks for bonds: Brazil could underperform if less moderate candidates emerge for the 2026 presidential race, if geopolitical tensions with the US escalate, if debt ratio continues rising, growth disappoints, if there is pressure for counter-cyclical spending or quasi-fiscal measures to boost growth, if medium-term real yields remain elevated (hurting interest expense).



Chile (CHILE)

We are Marketweight Chile external debt. Chile trades cheap to its ratings, but we think this is justified by fiscal risks.

Upside risks: We expect Chile bonds to outperform if growth is stronger, debt rises less than expected, and copper prices rally.

Downside risks: We expect Chile bonds to underperform if the deficit and debt rise faster than expected, growth stagnates, protests resume and political risks increase.

Colombia (COLOM)

We have a Marketweight recommendation on Colombia's external bonds. Colombia trades at a discount to its BB+/BB average rating given electoral risks and the challenge of implementing a large fiscal adjustment during the next administration.

Downside risks to bonds are a competitive 2026 presidential election, larger than expected fiscal slippage, low growth, credit rating downgrades.

Upside risks to bonds are liability management, market-friendly outcome to 2026 elections, approval of tax reform, moderation of reforms, faster growth, higher oil prices.

Costa Rica (COSTAR)

We are Marketweight on Costa Rica's external bonds as valuations, which price in upgrades to BBB-, are in line with our bullish view on the economy.

Upside risks to the bonds are faster-than-expected rating upgrades, approval of structural reforms, asset sales.

Downside risks are fiscal slippage, lower growth, supply of Eurobonds.

Dominican Rep (DOMREP)

We are Overweight on Dominican Republic's external bonds. Bonds trade in line with ratings but have cheapened relative to recent history.

Upside risks for bonds are resilience of tourism industry, approval of structural reforms (fiscal, electricity), strong growth, and credit rating upgrades.

Downside risks for bonds are slow growth, larger subsidies, and wider deficit. Weak reform momentum and prolonged Iran conflict make IG rating elusive.

Dubai (DUGB)

We have a Marketweight recommendation on Dubai EXD.

Downside risks are a prolonged period of low oil prices, higher US rates, increased borrowing for projects with low return and global risk aversion, which may cut market access to Dubai Inc.

Upside risks are related to an improved economic outlook on tourism, lower USD, and lower regional political risks.

Ecuador (ECUA)

We are Overweight on Ecuador's bonds. Bonds rallied after the presidential election but remain at distressed levels (yields >12%), which we think is not giving sufficient benefit to the government's reform agenda.

Upside risks: New multilateral financings, constitutional reforms, compliance with IMF program, reduction in fuel subsidies, strong EM risk appetite, higher oil prices.

Downside risks: Political uncertainty, protests, weak growth, electricity blackouts, reversal of structural reforms, decline in government's approval, reversal of fiscal consolidation, lower oil prices, low EM risk appetite.

Egypt (EGYPT)

We have a Marketweight (MW) recommendation to Egypt External Debt (EXD). International support has been substantial. We see a window for reform post-United Arab Emirates (UAE) Foreign Direct Investment (FDI) deal which pushes the restructuring risks further out. We think the spreads are fair given the geopolitical risks.

Downside risks are exposure to a prolonged, deteriorating global geopolitical backdrop, large portfolio outflows, disruptive USD/EGP adjustments, poor tourism and gas flows, fiscal slippage, lack of rollover of GCC deposits as well as domestic and regional geopolitics. We also see a risk that the IMF's 5th and 6th reviews will not complete by year-end. Upside risks are a quicker than expected implementation of the reforms

El Salvador (ELSALV)

We are Marketweight on El Salvador's external bonds. Valuations are tight to El Salvador's ratings, but we believe this reflects the government's capacity to deliver on the targets of the IMF program, which could lead to future upgrades.

Upside risks are compliance with IMF program targets and implementation of the fiscal adjustment and structural reforms, higher growth due to improved security conditions, and rating agency upgrades. Downside risks are popular opposition to reforms, and decline in foreign remittances (potentially due to stricter US immigration enforcement).

Ghana (GHANA)

We have a Marketweight recommendation on Ghana EXD as the restructuring process is now over. Ghana is now past the loosening fiscal path of 2020-22 that eventually led to the sovereign debt default. A new government has won elections and is looking to continue with fiscal deficit reduction under the IMF program. We think that the current valuations are not pricing the risk around further fiscal slippage - missing 1.5% primary surplus target of the IMF.

Upside risks are : is a better fiscal consolidation than expected. Positive direction on credit rating.

Downside risks are: fiscal slippage missing IMF targets.

Guatemala (GUATEM)

We are Marketweight on Guatemala's external bonds as valuations, which price in upgrades to BBB-, are in line with our bullish view on the economy.

Upside risks are: Credit rating upgrades, strong growth, and low deficit.

Downside risks are: Governability conditions, US migration policies, social protests, natural disasters, governance and institutional capacity, lower remittances, strains in the US bilateral relationship, and relatively smaller trading liquidity.

Hungary (REPHUN)

We are Overweight Hungary. Valuations are attractive, particularly compared to other global EM credits and we believe the upcoming elections provide asymmetric upside risks

Upside risks are in lower oil prices, lower issuance than expected and post-election fiscal consolidation



Downside risks lie in rapid fiscal expansion, political volatility, and prolonged geopolitical instability

Indonesia (INDON)

We have an Marketweight recommendation on Indonesia's EXD. The spread of Indonesia USD bonds to US Treasuries is below average and below our spread by rating curve. Relative to its peers with similar ratings, Indonesia spread remains tight and we believe this reflects the current underlying credit risks. We still believe Indonesia has a favorable political outlook and macro picture, including structural reforms and infrastructure to raise competitiveness.

Current account deficit for 2025 should remain within comfortable levels and should be financed mostly through external direct investment. That's consistent with all three agencies now rating Indonesian sovereign bonds as investment grade with a stable outlook.

Iraq (IRAQ)

We have an Underweight recommendation on Iraq External Debt (EXD). Messy election results delay government formation, which in turn reduces the probability of fiscal consolidation. Valuations are in line with ratings.

Upside risks are higher oil prices, higher oil production, a decline in geopolitical risks, engagement with the International Monetary Fund (IMF), and strong reserves.

Downside risks are a prolonged period of low oil prices, increased domestic tensions, looser fiscal policy, and a disruption of physical oil supplies.

Israel (ISRAEL)

We have an Overweight recommendation on Israel given compelling valuation (with spreads still somewhat wide to EM peers) and the resilient fiscal outlook, even if geopolitical risk remains elevated. Given the strong current account, the Bol can accumulate reserves, and growth is supported by very low interest rates and a healthy private sector balance sheet. Debt has declined since the GFC, although levels have risen more recently.

Negative risks for the credit: (1) Geopolitical events impact spreads . A deterioration in security situation could have limited effects on the sovereign as well. (2) Macro risks are a slowdown in the economy and financial sector instability.

Positive risks: reduced geopolitical risks.

Ivory Coast (IVYCST)

We have a Marketweight rating on Ivory Coast. The country has strong credit fundamentals (particularly GDP growth). We think the spreads are fair given the risks around elections.

Upside would come from a peaceful political backdrop and further fiscal consolidation.

Downside risks come from potential social around elections, and a lack of fiscal discipline. Lower commodity prices (cocoa, oil) would also hurt the credit profile.

Jordan (JORDAN)

We are Marketweight Jordan EXD. As it now trades closer to comparable BB- peers with a slight premium, we view risk/reward as fair with trade levels now fairly reflecting challenges around geopolitics, oil prices and fiscal consolidation, in our view. Credit challenges come in the form of a large current account deficit (exacerbated by high oil prices) and high government debt. However, this is compensated for by the international and regional support to Jordan and the robust commitment to fiscal reform.

Upside risks are lower oil prices (as an oil importer), an increase in international and regional support, and a continued commitment to fiscal consolidation leading to lower debt levels.

Downside risks are higher oil prices and reduced external market access for financing needs. An escalation of regional tensions could increase domestic tensions, a weakening in reform momentum leading to divergence from International Monetary Fund (IMF) targets.

Kazakhstan (KAZAKS)

We are Marketweight the Kazakhstan EXD. Valuations are close to level implied by current ratings. Country fundamentals can improve in line with the planned fiscal consolidation from 2026, which can bring rating upgrades. However, upside risks are balanced by pending quasi-sovereign spending plans.

Downside risks: Quasi-sovereign investment spending plans are the key macro risk, as it could offset positive effects of fiscal consolidation and support sharp increase in issuance. Regional geopolitical risks are other important market risks.

Upside risks: Accelerated overall reform/privatization agenda and normalization of quasi-sovereign spending plans could put country on further rating upgrade path already set by fiscal consolidation in line with 2026-2028 budget.

Kenya (KENINT)

We rate Kenya external debt (EXD) at Marketweight: although valuations in Kenya seem attractive vs other B rated peers in the region, we believe that more fiscal consolidation is needed. We note the recent issuance and partial buy back of the \$2bn Eurobond June maturity and IMF support help. Kenya is less exposed to commodity exports than many other SSA countries.

Upside/downside risks to our Marketweight view: World Bank or IMF support /fiscal slippage and global spreads widening. Potential buyback could be upside risk to front end of the curve.

Kuwait (KUWIB)

We have an Marketweight recommendation on Kuwait External Debt (EXD). Kuwait has ample debt carrying capacity, but large fiscal deficits. The new debt law should help improve Eurobond and domestic debt capacity. Valuations are slightly cheap to ratings.

Upside risks are a rebound in oil prices, a faster pace of fiscal consolidation, and lower US rates.

Downside risks are a prolonged period of low oil prices, higher-than-expected US rates, and increased issuance enabled by the new law.

Lebanon (LEBAN)

We are Marketweight on Lebanon External Debt (EXD). Market pricing is consistent with our recovery value range. Despite the positive political developments, the final restructuring outcome remains unclear given reforms and technical uncertainty.

Upside risks come from a potential IMF program, international support and strong reform implementation.

Downside risks stem from uncertain political direction, geopolitical risk, and poor reform track record.



Mexico (MEX)

We are Marketweight on Mexico's external debt. Bonds trade wide to Mexico's ratings, which we think adequately compensates investors for the risks. The government is showing resolve in consolidating the fiscal deficit (we expect primary deficit that is roughly balanced in 2025), and we think bonds already price in the risk that tariffs could be used to extract concessions from Mexico.

Upside risks are: Stronger growth, lower deficit, revenue raising fiscal reform. Downside risks are: lower growth, wider deficit, Pemex liabilities, imposition of tariffs, ratings downgrades/outlook changes.

Morocco (MOROC)

We are Marketweight Morocco EXD. Morocco has a record of sound and conservative macroeconomic policy, and robust technocratic institutional framework. There is a risk of spread widening if there is a lack of fiscal consolidation or unstable political dynamics in Morocco.

Upside risks stem from further fiscal consolidation and economic reforms as well as lower oil prices.

Downside risks stem from social unrest, slower reform momentum and higher oil prices.

Nigeria (NGERIA)

We are Marketweight as although we like the current reform path of the new government and the removal of oil subsidies, we believe the lack of USD inflows could weigh on the reform outcomes and their efficient implementation. Furthermore, the current valuations are not very compelling. Nigeria is a B- rated country which trades in line with its current rating.

Upside risks are removal of fuel subsidies, liberalizing the FX market and seeking dollar inflows to stabilize FX market and provide a stable platform for growth.

Downside risks are oil production disruptions, lower oil prices, and reform fatigue.

Oman (OMAN)

We have a Marketweight recommendation on Oman External Debt (EXD). Reforms and higher oil prices have been supportive cyclically and enabled deleveraging, but investor positioning has become heavier.

Upside risks are higher oil prices, strong reform momentum, and regional support.

Downside risks are lower oil prices, geopolitics, devaluation, and a credit event.

Pakistan (PKSTAN)

We are Underweight Pakistan EXD. The country is the most exposed to the Middle East conflict with geographic and geopolitical proximity, vulnerable macro story, high dependence on energy supplies as well as broader economic dependence on the Gulf. A prolonged crisis could compromise nascent economic recovery, weaken FX reserves as well as undermine fiscal stabilization. The country also has its own geopolitical tension points with active military operation against Afghanistan. On the back of remaining financing needs this could further weigh on EXD valuations.

Upside risks are stabilization of energy supplies and de-escalation of geopolitical risk premium. This could restore an otherwise positive macro recovery story and further improve debt sustainability.

Downside risks are a prolonged and escalating crisis, which may further undermine economic stability by destabilizing energy supplies and costs. On the back of remaining high financing needs, this could further undermine debt sustainability and EXD valuations.

Panama (PANAMA)

We are Overweight on Panama's external bonds as bonds price in a significant discount to Panama's ratings and a high probability of a second high-yield downgrade. We think pension reform, dialogue to reopen Minera Panama, and fiscal discipline could reduce the probability or the delay the timing of a possible downgrade.

Upside risks are approval of pension reform, the re-opening of Minera Panama, and fiscal discipline.

Downside risks are fiscal slippage, issuance, geopolitical tensions with the US, slow growth, credit rating downgrades, social protests, arbitration proceedings.

Peru (PERU)

We are Marketweight on Peru's external debt. Bonds trade in line with Peru's ratings. Risks to Peru's ratings have declined given improved macroeconomic outlook for 2025 and revision of credit rating outlooks to stable.

Upside risks are: fiscal prudence and higher growth. Downside risks are: political uncertainty, fiscal slippage, lower metal prices, and issuance.

Philippines (PHILIP)

We have an Underweight recommendation on Philippines' EXD. The USD bonds are rich on valuations and relative to its peers. Although we remain constructive on fundamentals, we are watching the deterioration in the balance of payments closely. The Philippines' strategy of retiring short-term bonds has helped underpin investor interest, but the Duterte administration raises concern about policies. Upside risks are that technical factors could drive the bonds to become even richer.

Poland (POLAND)

We are Marketweight POLAND. We are Marketweight POLAND. While fiscal concerns loom in the run-up to elections in 2027, these appear contained.

Upside risks lie in sooner-than-expected fiscal consolidation, lower oil prices and geopolitical resolution in the region.

Downside risks lie in continued fiscal slippage in the run-up to elections, elevated oil prices and a globally-induced slowdown in growth

Qatar (QATAR)

We have a Marketweight rating on Qatar. The country enjoys a strong balance sheet, with a low breakeven oil price. However, risk premia are tight relative to their long-run average. Valuations are slightly cheap to ratings.

Downside risks come from lower oil prices, higher-than-expected US rates, and widening in the broader IG credit market.

Upside risks are primarily linked to higher oil prices, lower US rates, and reducing geopolitical tensions in the region.

Romania (ROMANI)

We are Marketweight ROMANI. We believe that low-hanging fiscal reforms have been picked off, and the probability of further consolidation is lower. However, downgrade risks in the near-term are contained

Upside risks lie in continued fiscal consolidation, continued global spread tightening, and supportive terms-of-trade.



Downside risks lie in increasing political risks, potential upcoming supply and souring EM sentiment

Saudi Arabia (KSA)

We are Marketweight Saudi Arabia. KSA has cheapened of late, with supply risks weighing on spreads. We believe fiscal risks are contained, but may re-emerge if oil prices fall.

Upside risks lie in geopolitical resolution in the MENA region, and the potential for broader fiscal consolidation limiting supply.

Downside risks lie in lower oil and a weaker dollar, which may lead to KSA underperforming the EM IG complex.

Senegal (SENEGL)

We are Underweight Senegal EXD given their fundamentally unsustainable debt dynamics.

Upside risks lie in a deal with the IMF without a debt restructuring and stronger-than-expected fiscal consolidation. Downside risks lie in disorderly domestic debt markets, weaker fiscal-consolidation numbers and missed upcoming external payments.

Serbia (SERBIA)

We are Marketweight Serbia EXD. Serbia has robust macro as well as prudent and credible fiscal and monetary policies framework. Near term fiscal financing needs are largely covered by now as country is also intent to stay with the new IMF PCI over the next three years. However, strong macro case is balanced by high and rising country's geopolitical and political risks, which may weigh on macro fundamentals and delay important rating decisions.

Upside risks stem from resolution of domestic political tensions, potential accelerated EU accession process as well as lower energy costs.

Downside risks stem from renewed regional geopolitical tensions as well as higher oil prices.

Sharjah (SHJGOV)

We have an Overweight stance on Sharjah External Debt (EXD).

Upside risks are strong reform momentum, better-than-expected fiscal and debt dynamics, and Abu Dhabi support.

Downside risks are reform slippage, failure to control spending growth, weak revenue generation, unanchored fiscal and debt dynamics, and lack of Abu Dhabi support.

South Africa (SOAF)

We are Marketweight on South Africa EXD, based on valuations and its beta to global risk.

Upside risks lie in continued fiscal consolidation, higher precious metal prices, and improving global growth.

Downside risks lie in weaker growth, resurging global inflation, and globally-driven credit risks (given South Africa's high beta to overall EM risk)

Sri Lanka (SRILAN)

We are Overweight Sri Lanka EXD. Current valuations in macro-linked bonds (MLBs) are attractive and leave plenty of upside in recovery values, especially in the short end of the curve. Longer term upside may come from further macroeconomic recovery.

Upside risks may come from further stability of the currency, which may help to push debt to GDP down much sooner than expected by boosting nominal GDP in USD terms.

Downside risks to valuations stem from a potential departure from the IMF program as well as potential growth headwinds due to external trade or other pressures. This could constrain growth and prevent macro-contingency in macro linked bonds from being triggered.

Tajikistsan (TAJIKI)

We are MW Tajikistan. Yields are high, but we have major concerns about financing of the Rogun project. Until there is clarity on the future of this project, we see limited catalysts for bonds to see large moves.

Downside risks come from a lack of support for the Rogun project financing or from the IMF. We are concerned without support, financing requirements may prove too onerous for the country. Upside comes from an equity partner in the project and/or an IMF program.

Tunisia (TUNIS)

We hold Tunisia External Debt (EXD) at Underweight. Even if we do not see an International Monetary Fund (IMF) program being approved in the near future and see policy continuity post-elections, we expect that Tunisia may benefit from enough international funding to muddle through. Still, this is a risky strategy and a shock away from more adverse outcomes

Downside risks include a worsening of socio-political dynamics, fiscal slippage, a drop in international support and inability to repay external debt.

Upside risks include improved IMF relations, improved reform momentum and stronger-than-expected international support.

Turkey (TURKEY)

We are Marketweight (MW) on Türkiye External Debt (EXD). Valuations look fair to us given fundamentals, and in the context of inflation and political backdrops which are growing more salient. Upside risks are geopolitical resolution in the Middle East, improving fiscal and stronger reserve buffers. Downside risks are weaker fiscal backdrop and a more hawkish Fed

Ukraine (UKRAIN)

We have an Overweight recommendation on Ukraine EXD, as in our view current valuations have already priced in mid-term risks well and have asymmetrically positive risk/reward. Any sign of improvement in the geopolitical outlook could support valuations.

Downside risk is: a continued prolonged conflict, which could further boost associated fiscal, economic and all other costs, potentially triggering a new round of restructuring.

Uruguay (URUGUA)

We are Marketweight Uruguay's external bonds (EXD) which trade with the tightest spreads in LatAm given strong fundamentals and supportive technicals (low supply of dollar bonds and outsized inflows due to its high ESG ratings).

Upside risks are fiscal prudence, high growth, inflows into ESG funds, and rating agency upgrades.

Downside risks are fiscal slippage, electoral uncertainty, outflows from ESG funds, referendum to repeal pension reform.



Uzbekistan (UZBEK)

We are OW Uzbekistan. Robust reform momentum continues which improves an overall macro outlook and helps to support fiscal balances. Strong gold prices and rising output continue to support balance of payments/CBU reserves. As a result, further positive rating actions are likely with sustained fiscal stance and robust growth.

Upside risks comes from an accelerated reforms momentum and related positive rating actions. Downside risks may come from renewed fiscal slippage, accelerated debt placements as well as drop in gold prices.

Venezuela (VENZ)

We are Marketweight on Venezuela's sovereign bonds. Based on our analysis of potential recovery values in a restructuring, we do not think expected returns are high enough to turn bullish on bonds. Bonds have been in default since 2017 and are trading in the \$40s.

Risks: We expect bond prices to fall if the transition is unsuccessful and there is domestic political volatility or social conflict, if tensions with the US re-escalate, or if the US prioritizes the reconstruction over the payment of legacy debt holders. We expect bond prices to rise if oil production increases, there is political stability, sanctions are eased, and debt negotiations begin.

Zambia (ZAMBIN)

Our Marketweight recommendation on Zambia EXD reflects the current fair valuations of the bond and balanced risks to Zambia's outlook. We also consider the upside potential from the underpriced optionality of triggering the upgrade in August 2026, but stretched EM HY valuations and the beta to SSA deters outright bullishness. Upside risks are higher copper prices, stronger global growth, and a bullish carry environment. Downside risks are crowded positioning and stretched EM HY valuations.

Analyst Certification

We, David Hauner, CFA, Abhay Gupta, Claudio Piron, Ezequiel Aguirre, Jane Brauer, Janice Xue, Lucas Martin, CFA, Merveille Paja, Mikhail Liluashvili, Raghav Adlakha and Vladimir Osakovskiy, hereby certify that the views each of us has expressed in this research report accurately reflect each of our respective personal views about the subject securities and issuers. We also certify that no part of our respective compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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US - Medical Technology & Devices Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Abbott Laboratories	ABT	ABT US	Travis Steed
	Boston Scientific	BSX	BSX US	Travis Steed
	Carlsmed	CARL	CARL US	Travis Steed
	Ceribell	CBLL	CBLL US	Travis Steed
	Dexcom	DXCM	DXCM US	Travis Steed
	Edwards Lifesciences	EW	EW US	Travis Steed
	Globus Medical	GMED	GMED US	Travis Steed
	Haemonetics Corporation	HAE	HAE US	Travis Steed
	Insulet	PODD	PODD US	Travis Steed
	Intuitive Surgical	ISRG	ISRG US	Travis Steed
	iRhythm Technologies	IRTC	IRTC US	Stephanie Elghazi
	Kestra Medical Technologies	KMTS	KMTS US	Travis Steed
	Medtronic	MDT	MDT US	Travis Steed
	MiniMed Group Inc	MMED	MMED US	Travis Steed
	Mobia Medical Inc	MOBI	MOBI US	Travis Steed
	Si-Bone	SIBN	SIBN US	Travis Steed
	Stryker	SYK	SYK US	Travis Steed
	The Cooper Companies	COO	COO US	Travis Steed
NEUTRAL				
	Baxter International Inc	BAX	BAX US	Travis Steed
	Becton Dickinson	BDX	BDX US	Travis Steed
	Beta Bionics	BBNX	BBNX US	Travis Steed
	Conmed	CNMD	CNMD US	Travis Steed
	GE HealthCare	GEHC	GEHC US	Travis Steed
	Integer Holdings Corporation	ITGR	ITGR US	Travis Steed
	Merit Medical	MMSI	MMSI US	Travis Steed
	Solventum	SOLV	SOLV US	Travis Steed
	Tandem Diabetes Care	TNDM	TNDM US	Travis Steed
	Teleflex Incorporated	TFX	TFX US	Travis Steed
	Zimmer Biomet	ZBH	ZBH US	Travis Steed
UNDERPERFORM				
	Bausch & Lomb	BLCO	BLCO US	Travis Steed
	Embecta	EMBC	EMBC US	Travis Steed
	Inspire Medical	INSP	INSP US	Travis Steed
	Integra Lifesciences	IART	IART US	Travis Steed
	Procept BioRobotics Corporation	PRCT	PRCT US	Stephanie Elghazi
	RxSight	RXST	RXST US	Travis Steed

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Marketweight: Spreads and/or excess returns are likely to perform in-line with the relevant and comparable market over the next three months.

Underweight: Spreads and/or excess returns are likely to underperform the relevant and comparable market over the next three months.

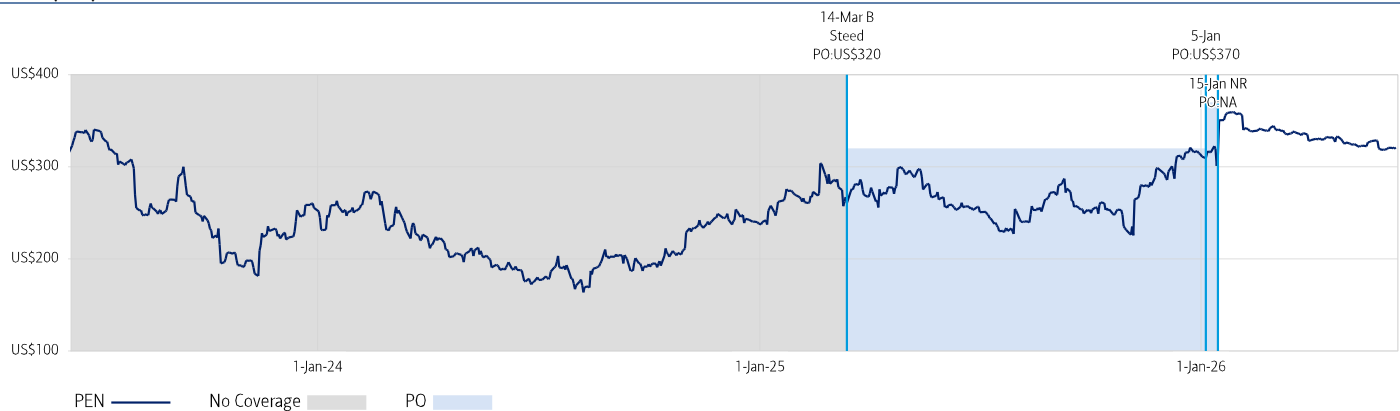
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Buy Protection: Buy CDS, therefore going short credit risk.

Neutral: No purchase or sale of CDS is recommended.

Sell Protection: Sell CDS, therefore going long credit risk.

Penumbra (PEN) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Health Care Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	227	59.74%	Buy	125	55.07%
Hold	78	20.53%	Hold	45	57.69%
Sell	75	19.74%	Sell	30	40.00%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1993	55.76%	Buy	1186	59.51%
Hold	821	22.97%	Hold	509	62.00%
Sell	760	21.26%	Sell	400	52.63%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

Sovereign Investment Rating Distribution: Global Group (as of 31 Mar 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R2}	Count	Percent
Buy	11	18.64%	Buy	6	54.55%
Hold	42	71.19%	Hold	18	42.86%
Sell	6	10.17%	Sell	2	33.33%

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R3}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R3} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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Research Analysts

Global Economics

Claudio Irigoyen
Global Economist
BofAS
+1 646 855 1734
claudio.irigoyen@bofa.com

Antonio Gabriel
Global Economist
BofAS
antonio.gabriel@bofa.com

Global EM FI/FX Strategy

David Hauner, CFA >>
Global EM FI/FX Strategist
MLI (UK)
+44 20 7996 1241
david.hauner@bofa.com

Raghav Adlakha
EM Quant/Sovereign Strategist
MLI (UK)
raghav.adlakha@bofa.com

Asia FI/FX Strategy & Economics

Helen Qiao
China & Asia Economist
Merrill Lynch (Hong Kong)
+852 3508 3961
helen.qiao@bofa.com

Claudio Piron
Emerging Asia FI/FX Strategist
Merrill Lynch (Singapore)
+65 6678 0401
claudio.piron@bofa.com

Kai Wei Ang
ASEAN Economist
Merrill Lynch (Singapore)
kaiwei.ang@bofa.com

Rahul Bajoria
India & ASEAN Economist
BofAS India
+91 22 6632 3095
rahul.bajoria@bofa.com

Jojo Gonzales ^^
Research Analyst
Philippine Equity Partners
jojo.gonzales@pep.com.ph

Abhay Gupta
Emerging Asia FI/FX Strategist
Merrill Lynch (Singapore)
abhay.gupta2@bofa.com

Pipat Luengnaruemitchai
Emerging Asia Economist
Kiatnakin Phatra Securities
pipat.luen@kkpfg.com

Xiaoqing Pi
Greater China Economist
Merrill Lynch (Hong Kong)
xiaoqing.pi@bofa.com

Benson Wu, CFA
China & Korea Economist
Merrill Lynch (Hong Kong)
benenson.wu@bofa.com

Ting Him Ho, CFA
Asia Economist
Merrill Lynch (Hong Kong)
tinghim.ho@bofa.com

Janice Xue
Emerging Asia FI/FX Strategist
Merrill Lynch (Hong Kong)
janice.xue@bofa.com

Anna Zhou
China & Asia Economist
Merrill Lynch (Hong Kong)
anna.zhou@bofa.com

EEMEA Cross Asset Strategy, Econ

Jean-Michel Saliba
EEMEA Econ Head/MENA Economist
MLI (UK)
+44 20 7995 8568
jean-michel.saliba@bofa.com

Mai Doan
CEE Economist
MLI (UK)
mai.doan@bofa.com

Vladimir Osakovskiy >>
EM Sovereign FI/EQ strategist
Merrill Lynch (DIFC)
vladimir.osakovskiy@bofa.com

Merveille Paja
EEMEA Sovereign FI Strategist
MLI (UK)
merveille.paja@bofa.com

Mikhail Liluashvili
EEMEA Local Markets Strategist
MLI (UK)
mikhail.liluashvili@bofa.com

Hande Kucuk
Turkey & Israel Economist
MLI (UK)
hande.kucuk@bofa.com

Tatonga Rusike
Sub-Saharan Africa Economist
MLI (UK)
tatonga.rusike@bofa.com

LatAm FI/FX Strategy & Economics

Carlos Capistran
LatAm and Canada Economist
BofAS
+1 646 743 2921
carlos.capistran@bofa.com

David Beker >>
Bz Econ/FI & LatAm EQ Strategy
Merrill Lynch (Brazil)
+55 11 2188 4371
david.beker@bofa.com

Jane Brauer
Sovereign Debt FI Strategist
BofAS
+1 646 743 3747
jane.brauer@bofa.com

Ezequiel Aguirre
LatAm FI/FX Strategist
BofAS
ezequiel.aguirre2@bofa.com

Pedro Diaz
Caribbean Economist
BofAS
pdiaz2@bofa.com

Lucas Martin, CFA
Sovereign Debt FI Strategist
BofAS
lucas.martin@bofa.com

Gustavo Mendes
Brazil Economist
Merrill Lynch (Brazil)
gustavo.mendes@bofa.com

Alexander Muller
Andean(ex-Ven) Carib Economist
BofAS
alexander.muller@bofa.com

Natacha Perez
Brazil Economist
Merrill Lynch (Brazil)
natacha.perez@bofa.com

Sebastian Rondeau
Southern Cone & Venez Economist
BofAS
sebastian.rondeau@bofa.com

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